

RoboTechnik (A)

New Buy: Unique AI optical equipment leader for transceivers and CPO

Initiating Coverage: BUY | PO: 630.00 CNY | Price: 483.01 CNY

Initiate at Buy: global No.1 SiPh equipment provider

We initiate coverage of RoboTechnik (RT), a global leader in optical equipment, with a Buy rating and RMB630 PO (30% potential upside), based on 35x 2028E PER, in line with the optical equip. peer average. Since 2024, RT has ranked No.1 in the SiPh equipment (26% global share) through its acquisition of German subsidiary ficonTEC. We see 4 drivers for the ~360% NPAT CAGR in 2026-28E: 1) a fast-growing TAM of optical transceiver (OT) equipment, with RT securing RMB1.7bn+ of orders in 7M26, ~60% from a leading US transceiver client; 2) RT's role as a key supplier in Nvidia/TSMC's CPO test insertion 2 and insertion 3 steps; 3) better margin and working capital as its transitions from PV to optical equipment; and 4) PV equipment revenue stabilization.

Fully-automated/ integrated transceiver equipment leader

Our [Global Tech team \(see report\)](#) forecasts optical transceiver shipment CAGR of 46% over 2025-30. With strong capex growth from OT makers, upgrades from 800G to 1.6T, and potential to 3.2T, we see the OT equipment TAM at RMB30bn+ in 2026, with a 67% CAGR over 2025-28E (Exhibit 17). RT's key strengths: 1) offers high-precision equipment across the whole OT manufacturing process, from assembly & coupling to testing (Exhibit 8); 2) full automation vs. some peers' manual process; in 7M26, RT got ~RMB1bn orders from US OT client that may serve as a showcase for future order wins from US and Chinese OT makers expanding overseas; 3) global leader in long validation industry.

Key Nvidia CPO testing equipment supplier as a L-T driver

Our Tech team forecasts CPO penetration in AI optical ports to reach 6%/12%/17% in 2028/29/30 (Exhibit 5), with CPO equipment demand 1-2 years front-loaded into 2026-27. As a key supplier for Nvidia/TSMC CPO testing equipment (Exhibit 9), RT has got CPO orders in 2026 and may see faster growth in insertion 2 & 3 equipment needs in 2027-28. Also, RT has received trial orders from a Swiss customer for OCS equipment and, in the long term, Google's OCS adoption ramp up may offer more upside. It trades at 27x 2028E PER (vs. peers at 30x), reasonable given its leading position in fast-growing area (0.2xPEG). **Risk:** slower-than-expected AI capex growth and CPO adoption.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	64	(66)	144	1,232	3,010
EPS	0.410	(0.410)	0.861	7.35	17.96
EPS Change (YoY)	-41.4%	NM	NM	754.0%	144.3%
Dividend / Share	0.045	0	0.129	1.10	2.69
Free Cash Flow / Share	(2.20)	1.02	(0.119)	0.305	12.16
Valuation (Dec)					
P/E	1,178x	NM	561.06x	65.70x	26.89x
Dividend Yield	0.009%	0%	0.027%	0.228%	0.558%
EV / EBITDA*	NM	NM	347.36x	53.55x	22.54x
Free Cash Flow Yield*	-0.423%	0.203%	-0.025%	0.063%	2.52%

* For full definitions of *IQmethod*SM measures, see page 33.

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Refer to important disclosures on page 34 to 36. Analyst Certification on page 31. Price Objective Basis/Risk on page 31.

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20 August 2026 Corrected

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Stock Data

Price	483.01 CNY
Price Objective	630.00 CNY
Date Established	20-Aug-2026
Investment Opinion	C-1-7
52-Week Range	189.21 CNY-714.00 CNY
Mrkt Val / Shares Out (mn)	12,007 USD / 167.6
Market Value (mn)	80,956 CNY
Average Daily Value (mn)	532.16 USD
Free Float	56.3%
BofA Ticker / Exchange	XYICF / SHZ
Bloomberg / Reuters	300757 CH / 300757.SZ
ROE (2026E)	8.3%
Net Dbt to Eqty (Dec-2025A)	61.5%

CPO: co-packaged optics

NPO: near-packaged optics

OCS: optical circuit switches

SiPh: silicon photonics

TAM: total addressable market

N-T: near-term

L-T: long-term

PV: photo voltaic

For a full list of acronyms, see Exhibit 47.

iQprofileSM RoboTechnik (A)

Key Income Statement Data (Dec)

(CNY Millions)

	2024A	2025A	2026E	2027E	2028E
Sales	1,106	950	2,065	5,982	10,226
Gross Profit	318	328	773	2,653	5,004
Sell General & Admin Expense	(93)	(204)	(299)	(538)	(614)
Operating Profit	61	(79)	167	1,454	3,499
Net Interest & Other Income	(1)	8	(8)	(96)	(181)
Associates	NA	NA	NA	NA	NA
Pretax Income	60	(71)	159	1,358	3,318
Tax (expense) / Benefit	3	5	(16)	(136)	(332)
Net Income (Adjusted)	64	(66)	144	1,232	3,010
Average Fully Diluted Shares Outstanding	156	162	168	168	168

Key Cash Flow Statement Data

Net Income	62	(65)	142	1,212	2,962
Depreciation & Amortization	28	55	69	78	140
Change in Working Capital	(480)	118	(119)	(860)	(525)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	72	100	1	10	24
Cash Flow from Operations	(317)	208	94	440	2,600
Capital Expenditure	(25)	(43)	(114)	(389)	(562)
(Acquisition) / Disposal of Investments	(15)	(2)	0	0	0
Other Cash Inflow / (Outflow)	(15)	(629)	0	0	0
Cash Flow from Investing	(55)	(674)	(114)	(389)	(562)
Shares Issue / (Repurchase)	11	363	0	0	0
Cost of Dividends Paid	(50)	(42)	0	(22)	(185)
Cash Flow from Financing	454	433	242	275	165
Free Cash Flow	(342)	165	(20)	51	2,038
Net Debt	722	1,028	1,047	1,018	(835)
Change in Net Debt	409	189	20	(29)	(1,853)

Key Balance Sheet Data

Property, Plant & Equipment	277	348	392	703	1,126
Other Non-Current Assets	516	1,511	1,511	1,511	1,511
Trade Receivables	519	751	991	1,974	2,352
Cash & Equivalents	300	284	507	832	3,036
Other Current Assets	754	748	790	1,336	1,643
Total Assets	2,365	3,642	4,191	6,356	9,667
Long-Term Debt	39	303	545	842	1,192
Other Non-Current Liabilities	0	37	37	37	37
Short-Term Debt	983	1,009	1,009	1,009	1,009
Other Current Liabilities	338	622	786	1,454	1,613
Total Liabilities	1,360	1,971	2,377	3,341	3,850
Total Equity	1,005	1,671	1,814	3,015	5,816
Total Equity & Liabilities	2,365	3,642	4,191	6,356	9,667

iQmethodSM - Bus Performance*

Return On Capital Employed	3.3%	-2.6%	4.7%	31.5%	48.6%
Return On Equity	6.4%	-5.0%	8.3%	51.0%	68.1%
Operating Margin	5.5%	-8.4%	8.1%	24.3%	34.2%
EBITDA Margin	8.1%	-2.6%	11.4%	25.6%	35.6%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	-5.0x	NM	0.6x	0.4x	0.9x
Asset Replacement Ratio	0.9x	0.8x	1.6x	5.0x	4.0x
Tax Rate (Reported)	NM	7.7%	10.0%	10.0%	10.0%
Net Debt-to-Equity Ratio	71.9%	61.5%	57.7%	33.8%	-14.4%
Interest Cover	2.7x	-2.2x	2.7x	9.7x	14.9x

Key Metrics

* For full definitions of iQmethodSM measures, see page 33.

Company Sector

Industrial Machinery

Company Description

Founded in 2011 and listed on the Shenzhen Stock Exchange in 2019, RoboTechnik is a leading supplier of intelligent manufacturing equipment for both optical communication devices and PV cells. Through its acquisition of FiconTEC, RoboTechnik has established a global leadership position in SiPh coupling, assembly, and testing equipment, serving applications across optical transceivers, CPO, NPO, OCS, FAU and other SiPh devices.

Investment Rationale

We have a Buy rating. We expect optical transceivers equipment as the company's near-term profit driver in 2026-2027E with transceivers makers' expanding capacities, while CPO equipment will become the company's longer-term growth driver from 2027 onwards, supported by its leading position and accumulated know-how in high-precision SiPh coupling and CPO testing. We forecast NPAT to turn positive to RMB144mn in 2026E, and rise to RMB1.2bn/3.0bn in 2027/28E, implying a multi-year earnings upcycle.

Stock Data

Price to Book Value

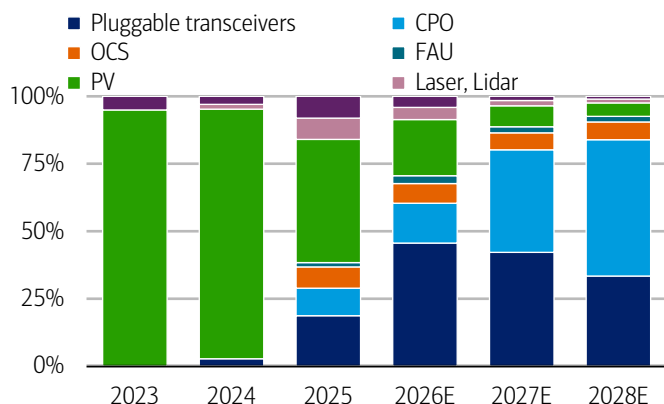
44.6x



Focus charts

Exhibit 1: Optical transceivers and CPO as the major growth drivers

RoboTechnik's revenue mix by downstream applications

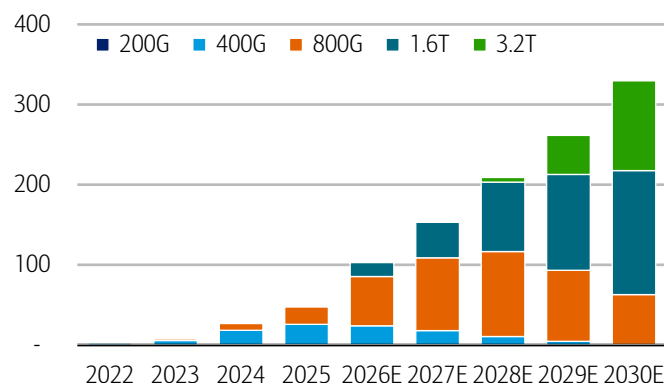


Source: BofA Global Research estimates, RoboTechnik

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Exhibit 3: Transceiver volume CAGR of 46% over 2025-30E

Global Ethernet transceiver (pluggable) unit volumes (mn units)

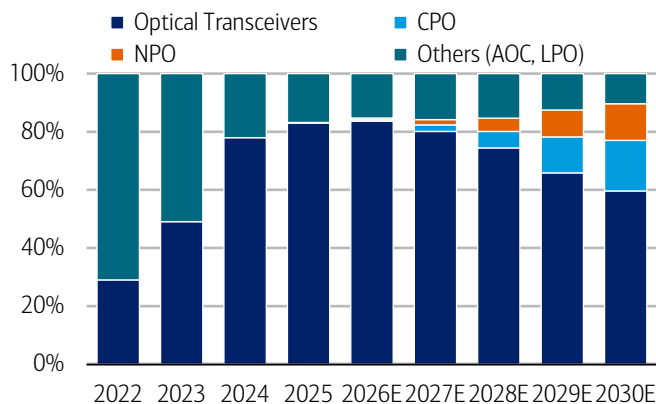


Source: BofA Global Research estimates, LightCounting, Dell'Oro, 650 Group

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Exhibit 5: CPO will account for 17% of AI optical ports shipment by CY30E

AI optical port mix between transceivers, LPO/LRO, CPO, NPO, AOC

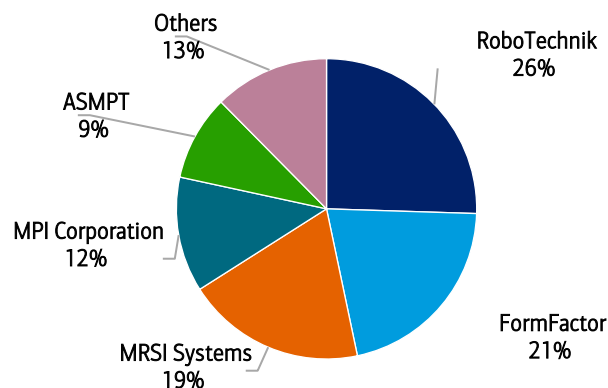


Source: BofA Global Research estimates, Dell'Oro, 650 Group

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Exhibit 2: RoboTechnik ranks #1 in global SiPh manufacturing equipment market

Global SiPh manufacturing equipment market share (2024)

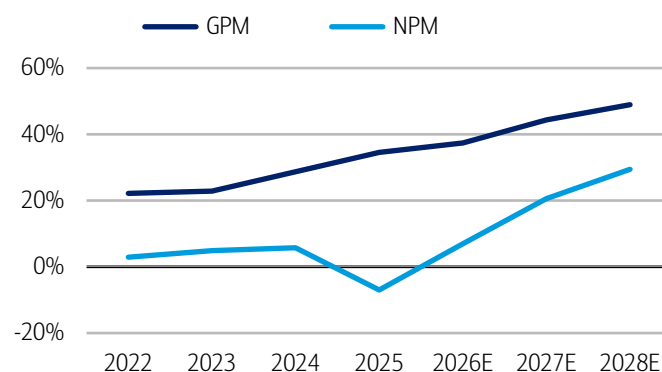


Source: BofA Global Research, CIC, RoboTechnik

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Exhibit 4: We project NPM of 7%/21%/29% in 2026/27/28

RoboTechnik's GPM and NPM

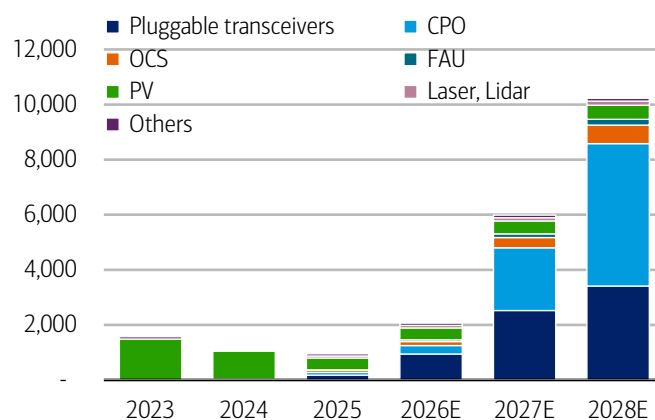


Source: BofA Global Research estimates

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Exhibit 6: We project 121% revenue CAGR over 2025-28

RoboTechnik's revenue by downstream application (RMB mn)



Source: BofA Global Research estimates, RoboTechnik

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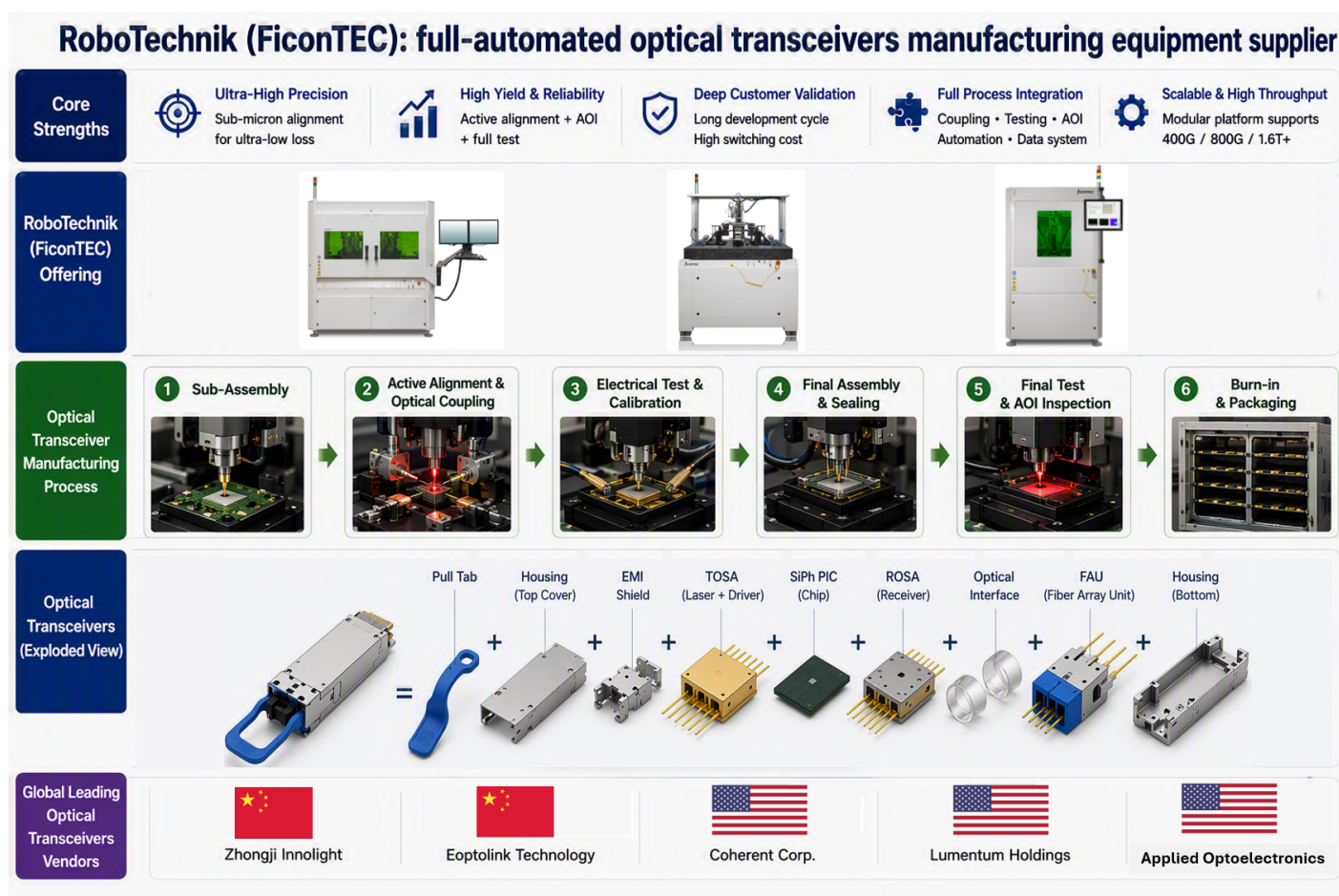
Exhibit 7: YTD announced backlog orders reached RMB1.7bn in total, with optical transceivers-related equipment accounting for 70%+ RoboTechnik announced backlog orders in 2026

Announcement date	Customer	Amount	Products	Application
Jan 6	A Swiss company C	EUR7.7mn	The second order for a fully automated OCS production line equipment	OCS
Jan 27	A Nasdaq-listed company E based in Israel	USD9.2mn	Single-sided wafer testing equipment	Transceivers
Mar 17	Not disclosed	EUR6.1mn	The second order for double-sided wafer testing equipment	CPO
Mar 25	A Nasdaq-listed company F	RMB600mn	SiPh transceivers coupling equipment	Transceivers
Apr 2	A Nasdaq-listed company F	USD35.7mn	SiPh transceivers coupling equipment	Transceivers
May 6	A NYSE-listed company B	USD26.8mn	Testing and optical coupling equipment	Transceivers
May 6	A Nasdaq-listed company F	USD32.3mn	AOI, laser bar packaging equipment	Transceivers/Laser
July 20	A global leading automotive electronics company G	EUR15.9mn	Automotive camera assembly and testing equipment	Automotive
July 27	A Nasdaq-listed company H	EUR16.7mn	FAU automated manufacturing equipment	FAU
YTD total		RMB1.7bn		

Source: BofA Global Research, RoboTechnik

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Exhibit 8: RoboTechnik's equipment offerings support whole production process of optical transceivers, with high efficiency, yield, and scalability SiPh optical transceivers manufacturing equipment, process, and key transceiver vendors



Source: BofA Global Research, RoboTechnik. Terms illustration as below:

Optical coupling: refers to the process of precisely aligning the PIC optical waveguides with an FAU, lens or optical fiber, so that light can enter and exit the PIC efficiently with minimal optical power loss

EMI (Electromagnetic Interference) Shield: it protects high-speed signals from electromagnetic interference and ensuing signal stability and complementment

TOSA (Transmitter Optical Sub-Assembly): it converts electrical signals into optical signals

ROSA (Receiver Optical Sub-Assembly): it converts received optical signals into electrical signals

PIC (Photonic Integrated Circuit): it integrates optical signal transmission and processing functions, including Modulator, Waveguide, Photodetector, Coupler, Multiplexer / Demultiplexer, etc.

EIC (Electronic Integrated Circuit): it amplifies and processes high-speed electrical signals, including DSP (Digital Signal Processor), Driver, TIA (Transimpedance Amplifier), CDR (Clock and Data Recovery)

Optical Interface: it ensures efficient light connections between PIC and FAU, including Lens, Lens array, Fiber interface, Grating coupler, etc.

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Exhibit 9: RoboTechnik is the key optical testing equipment supplier in Nvidia/TSMC CPO test insertion 2 and 3, may further expand to insertion 4

CPO testing workflow: Ins1 (PIC single-side wafer test), Ins2 (PIC+EIC double-side wafer test), Ins3 (OE die test), and Ins4 (CPO + switch ASIC module test)

CPO Testing Flow: Insertion 1 → Insertion 4

Robotechnik/ficonTEC: Leading Optical Test Equipment Supplier



One of the few optical equipment suppliers supporting whole CPO test steps from Insertion 1 to 4

Source: BofA Global Research. CPO testing is conducted at four points to identify defects:

Ins1 (Insertion 1): single-side PIC wafer test, using optical probes to test the PIC wafer from one side, measuring IL (insertion loss, refers to optical power lost), PDL (polarization-dependent loss, refers to the variation in loss under different light polarizations), crosstalk (refers to unwanted signal leakage between optical channels)

Ins2 (Insertion 2): PIC and EIC bonded double-side wafer test, combining electrical probing with optical coupling to evaluate modulation performance, eye diagrams and optical loss

Ins3 (Insertion 3): testing the singulated optical engine (OE) at die level through a complete electrical and optical test solution, including full-link performance, bit error rate (BER) and thermal behavior, before the OE is integrated with the expensive switch ASIC

Ins4 (Insertion 4): testing the packaged CPO + ASIC module under system-level operating conditions, covering overall performance, power consumption and thermal stability

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Why it is a good stock to own - FAQs

RoboTechnik is an intelligent equipment vendor serving AI optics/SiPh devices (pluggable optical transceivers, CPO, OCS, FAU, OIO, etc.) and PV cell manufacturing (mainly automated material loading). The company has ranked No.1 in global SiPh manufacturing equipment market in 2024 via its acquired subsidiary ficonTEC. Our global tech team forecast optical transceivers shipment to grow at 46% CAGR over 2025-30E, which will drive continued capex upcycle for optical transceiver equipment. We see optical transceivers equipment as the near-term driver, evident from strong orders growth in 7M26. We also see RoboTechnik as a key supplier for CPO testing equipment, which will drive its long-term growth with CPO adoption ramp-up. Upside risks include better-than-expected OCS adoption and FAU shipment.

How can it quickly transit from PV to optical equipment?

By acquiring a Germany-headquartered company ficonTEC, which is a leading provider of high-precision assembly and testing equipment for optical communication devices founded in 2001, RoboTechnik has tapped into the optical manufacturing equipment market. RoboTechnik's chairman, Mr. Dai Jun, led a buyer consortium vehicle to invest in ficonTEC from 2019 and gradually acquired a 93% shareholding in ficonTEC in 2023. In 2025, RoboTechnik completed the acquisition of ficonTEC, securing 100% ownership. This transaction marked RoboTechnik's strategic expansion from its original PV manufacturing equipment into optical manufacturing equipment.

What are the key advantages for RT in transceivers?

1) We see RoboTechnik has better integration equipment portfolios that cover the whole manufacturing process of transceivers, including coupling/alignment, stacking, laser welding, FAU assembly, testing, etc. While, other listed competitors normally cover part of the manufacturing process. 2) RoboTechnik has in-house supply of controlling software and algorithms for its equipment, which supports high-precision alignment and assembly, as well as full-automated production and testing. 3) We believe the company's full-automated production equipment will enable it to capture the broader adoption by Chinese optical transceivers clients for their overseas capacity expansion, which is accelerated by potential US import controls on China-produced transceivers. In our view, RoboTechnik is well positioned with its automated transceiver equipment improving production efficiency & yield amid lower labor efficiency and higher labor cost overseas. 4) The company has received RMB1.0bn+ order from a key US optical transceiver client in 7M26, with overall backlog orders at RMB1.7bn in 7M26 (vs. RMB950mn total revenue in 2025). We believe the US client order will also create a demonstration effect to Chinese clients. We expect the company's transceivers' equipment revenue to grow at 168% CAGR over 2025-28E, accounting for 46%/42%/33% of its total revenue.

Why is it unique in CPO supply chain?

CPO testing is critical for its mass production, given the extremely low tolerance for optical loss and the high replacement cost if failure occurs after integration with the switch ASIC. In our view, RoboTechnik is well positioned to provide testers that meet complicated demand for PIC, EIC, optical engine testing in CPO test workflow, leveraging its ultra-high-precision alignment capabilities, testing know-how, and deep customer engagement with Nvidia and TSMC in CPO development. We believe competitors will need time to catch up as the CPO test faces high entry barrier, and RoboTechnik's first-mover advantages as well as continued product iteration should support its leading share in CPO test insertion 2 and insertion 3 steps. We expect CPO's pilot run to lead to equipment demand from 2026/27E, with CPO equipment acting as the long-term growth driver for RoboTechnik, contributing 15%/38%/51% of its total revenue in 2026/27/28E, and delivering 277% revenue CAGR over 2025-28E.



What financial improvements should we expect?

We expect RoboTechnik's GPM to increase from 34.5% in 2025A to nearly 50% in 2028, due to higher ASPs and scale benefits with optical equipment business ramp-up. We estimate its optical equipment-blended ASP could improve from RMB3.7mn in 2025A to nearly RMB6.0mn in 2028, driven by a higher shipment mix of CPO- and OCS-related equipment, whose ASP normally exceeds RMB10mn per unit. We expect its receivable turnover days to fall from 244 days in 2025 to 77 days by 2028 as the revenue mix shifts from the legacy PV equipment business toward the emerging optical equipment business, where customers typically have shorter payment cycles. We believe this mix improvement should support stronger cash conversion and operating cash flow.

Will PV continue to be a drag?

We expect RoboTechnik's PV equipment business to gradually stabilize over 2026-28, supported by its overseas project delivery. We also believe the company can progressively redeploy workforce and manufacturing resources from its PV operations to its SiPh business, improving resource utilization, supporting capacity expansion, and gradually reducing the PV segment's drag on overall profitability.

Upside risks: 1) faster-than-expected ramp-up of CPO penetration; 2) higher-than-expected capex by optical manufacturers and hyperscalers; 3) wider-than-expected adoption of fully automated equipment by Chinese transceiver vendors; and 4) better-than-expected recovery in PV equipment demand.

Downside risks: 1) slower-than-expected adoption and commercialization of CPO and OCS; 2) weaker-than-expected capex cycle among optical transceiver producers; 3) stiff competition in automated transceiver manufacturing equipment; and 4) prolonged weakness in the PV equipment industry.

Valuation: 35x 2028 PER

P/E-based PO of RMB630

Given RoboTechnik's unique position in the global AI optical equipment supply chain, particularly in CPO-related equipment, we derive our P/E-based PO of RMB630 using 35x 2028E P/E, in line with the average 2028E P/E of its optical communication assembly & test equipment peers' average. We view the valuation as reasonable given the company's low PEG ratio (0.20x), strong financial improvement outlook (EPS CAGR of 357% over 2026-28E and ROE expansion from 6% in 2024A to 51% in 2027E), and leading position in optical transceiver manufacturing equipment and the CPO test equipment market.

Exhibit 10: We assign a 35x 2028E P/E, implying RMB630 PO and 0.24x target PEG

Valuation

FY2028

Net profit (RMBmn)	3,010
Shares Outstanding (mn shares)	168
EPS (RMB/share)	18
P/E Multiple (x)	35
PO (RMB)	630

Source: BofA Global Research

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We use 2028E EPS as our valuation base because we expect CPO penetration in AI network ports to meaningfully take off from 2028, driven by adoption in AI server rack scale-up networks. We expect this to become a major medium- to long-term growth driver for RoboTechnik.

Exhibit 11: Optical communication equipment peers' average 2028 PER at 34x

RoboTechnik's peer comp table - Optical communication equipment, optical transceiver, and device manufacturers

Company	Ticker	Main Business	Market Cap (\$mn)	P/E			EPS growth			EPS CAGR	PEG	EV/EBITDA	ROE
				2026E	2027E	2028E	2026E	2027E	2028E				
RoboTechnik	300757 CH	Optical assembly and testing equipment	12,014	561x	66x	27x	NA	754%	144%	357%	0.20x	54x	51%
Optical communication assembly & test equipment													
Semight Instruments	688808 CH	Optical/electrical testing equipment	33,839	287x	129x	84x	129%	60%	53%	57%	4.80x	NA	21%
Advantest	6857 JP	Electrical testing equipment (involve in CPO testing)	161,184	41x	37x	37x	117%	12%	0%	6%	6.97x	29x	55%
		Electrical testing equipment (involve in CPO testing)	63,207	46x	35x	27x	123%	30%	29%	29%	1.24x	28x	42%
Teradyne	TER US	Probe cards for optical/electrical testing equipment	9,714	41x	32x	28x	136%	27%	12%	20%	1.73x	NA	21%
FormFactor	FORM US	Probe cards and optical/electrical testing equipment	16,114	80x	40x	23x	95%	101%	80%	90%	0.49x	33x	56%
MPI Corporation	6223 TT	Electrical and optical assembly equipment	8,478	38x	26x	20x	250%	45%	30%	37%	0.81x	18x	13%
ASMT	522 HK	Electrical and optical assembly equipment	20,453	50x	33x	25x	160%	51%	32%	41%	0.89x	29x	64%
Besi	BESI NA	Electrical and optical testing equipment	28,213	48x	32x	26x	61%	47%	24%	35%	1.04x	28x	60%
Chroma	2360 TT	Electrical and optical testing equipment	28,213	48x	32x	26x	61%	47%	24%	35%	1.04x	28x	60%
Average				79x	46x	34x	134%	47%	32%	39%	2.25x	28x	41%
Optical transceivers & device manufacturers													
Coherent	COHR US	Lasers & optical transceivers	60,009	42x	26x	18x	68%	58%	47%	52%	0.54x	19x	17%
Lumentum	LITE US	Lasers & optical transceivers	78,336	59x	31x	22x	250%	89%	42%	64%	0.52x	21x	36%
Yuanjie Semiconductor	688498 CH	Lasers	28,048	248x	139x	78x	296%	78%	79%	79%	1.86x	114x	37%
Tower Semi	TSEM	SiPh wafer manufacturing	27,190	62x	35x	23x	69%	80%	48%	63%	0.60x	24x	25%
AAOI	AAOI US	Optical transceivers	11,113	193x	29x	18x	362%	577%	55%	224%	0.15x	19x	18%
Fabrinet	FN US	Optical transceivers	17,294	30x	24x	20x	36%	20%	25%	23%	1.33x	25x	24%
Marvell	MRVL US	Chip designers for optical communications	188,957	55x	36x	24x	40%	56%	49%	52%	0.70x	29x	17%
Astera Labs	ALAB US	Chip designers for optical communications	52,642	79x	48x	38x	109%	63%	27%	44%	1.17x	49x	36%
TFC optical	300394 CH	Optical component and CPO	44,905	82x	52x	39x	81%	57%	33%	44%	1.23x	44x	53%
Average				94x	47x	31x	65%	120%	45%	72%	0.90x	38x	29%
Total peers' average				87x	46x	32x	97%	85%	39%	56%	1.53x	34x	35%

Source: Bloomberg consensus. BofA Global Research

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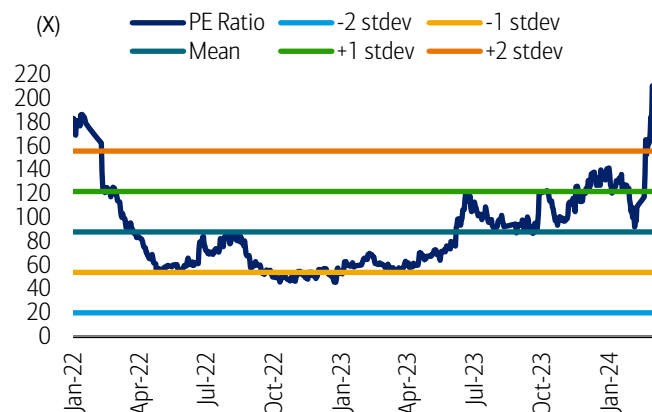
Our applied P/E multiple is 35x, in line with the average 2028E PER of the optical communication assembly & test equipment peers group. The multiple is slightly above the 31x FY28E P/E of peers in the optical transceiver and device manufacturer supply chain. We believe the premium is justified by: 1) **faster revenue and earnings growth**: we estimate revenue CAGR of 121% over 2025-28, with NPAT turning positive in 2026E and delivering a 357% CAGR over 2026E-28E, mainly driven by growing optical transceiver equipment and CPO tester demand; 2) **a unique position in the CPO manufacturing supply chain**: RoboTechnik holds a leading position in CPO test equipment for the insertion 2 and insertion 3 steps, which are essential for CPO mass production and commercialization and therefore merit a valuation premium; and 3) **expanding margin**: RoboTechnik's product offering spans not only AI optical communications, but also low-earth-orbit (LEO) satellite communications, automotive LiDAR, photovoltaics, and SiPh biosensing used in consumer electronics, reducing reliance on any single end-market and enhancing earnings resilience.

Based on our estimates, RoboTechnik trades at only 0.20x PEG, substantially below the overall peer average of 1.53x, suggesting the market underappreciates its earnings growth. We therefore believe a 35x 2028E P/E multiple, largely in line with the optical communication assembly & test equipment peers' average 2028E P/E, which is justified by the company's superior earnings growth profile, accelerating margin expansion, and strategic positioning in the optical communication and CPO manufacturing supply chain.

The stock price was up 107% YTD, which we believe reflects positive progress in CPO commercialization, including Nvidia's scale-out CPO switch shipments, as well as the company's order growth driven by optical transceiver, OCS, FAU, and automotive electronics demand.

Exhibit 12: 88x average P/E during 2022-24 when earnings were positive

RoboTechnik's forward historical P/E band during 2022-24

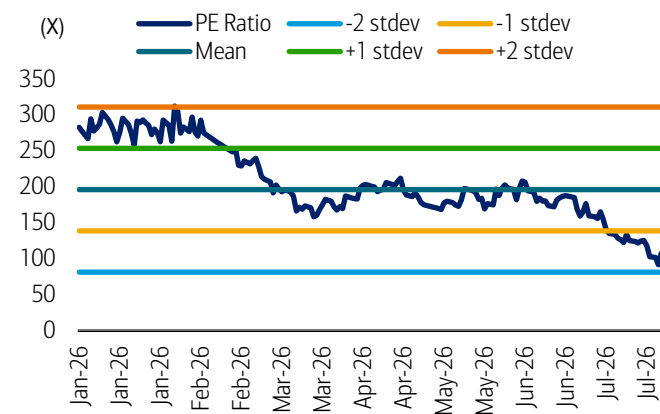


Source: Bloomberg, BofA Global Research

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Exhibit 13: 198x average P/E since 2026

RoboTechnik's forward historical P/E band since 2026



Source: Bloomberg, BofA Global Research

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Transition from PV equip. to optical equip.

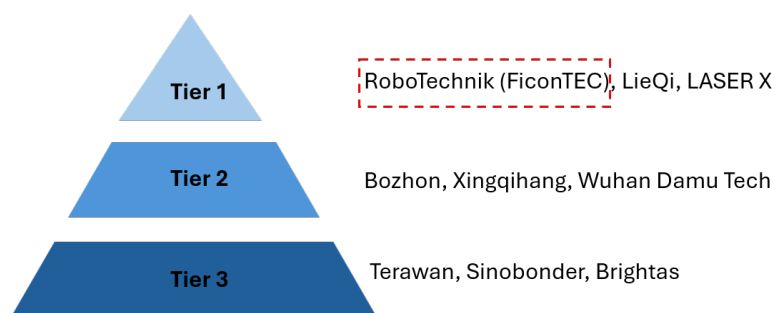
Through the acquisition of finconTEC, its wholly owned Germany-based subsidiary, RoboTechnik has been transitioning from a PV cell manufacturing equipment provider to an optical equipment provider supporting the manufacture of optical devices including transceivers, CPO, OCS, and FAU. We expect optical transceiver equipment to be RoboTechnik's near-term growth driver, contributing 46%/42%/33% of total revenue in 2026E/27E/28E. With Nvidia's introduction of CPO for server rack scale-up networks, we expect CPO penetration to take off from 2028 and become RoboTechnik's next growth driver, contributing 15%/38%/51% of total revenue in 2026E/27E/28E. We also see Google's adoption of optical circuit switches (OCS) for TPU rack networking driving OCS demand, and RoboTechnik is well positioned to capture growth opportunities in the OCS market as an important supplier of OCS manufacturing equipment. We believe increasing optical fiber channels per fiber array unit (FAU) should also drive demand for automated alignment and assembly equipment, benefiting RoboTechnik.

RoboTechnik: leading global optical equipment supplier

Through its subsidiary ficonTEC, RoboTechnik ranked first in the global SiPh manufacturing equipment market in 2024, with a 25.5% market share. Compared with global peers, RoboTechnik has leading competitive advantages, including: 1) ultra-high-precision equipment enabling 10nm SiPh assembly and testing; and 2) complete product lines covering the full SiPh manufacturing process, including wafer-level testing, assembly of PICs and SiPh devices, and final qualification of SiPh devices.

Exhibit 14: RoboTechnik ranks Tier 1 in global optical coupling equipment industry

Competitive landscape of optical coupling equipment industry, globally



Source: Frost & Sullivan, BofA Global Research

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RoboTechnik's assembly equipment product line supports fully automated production of optical transceivers, as well as coupling and alignment tasks including lens alignment, multi-fiber insertion, and laser bar bonding. RoboTechnik's assembly equipment can also automate FAU optical alignment, including fiber stripping, cleaving, and mechanical-transfer ferrule insertion, which are traditionally performed manually as separate steps.

Exhibit 15: RoboTechnik's SiPh assembly equipment product lines covering PIC, die, chip, fiber, and laser bar

RoboTechnik's assembly equipment portfolios

Product line	Features	ASP (RMB mn)
Assembly line (AL)	Die-level photonic device assembly; Application in PIC hybridization, sensors & lidar, co-packaging	RMB1.6mn to 4.1mn
Custom line (CL)	Flexible and multi-purpose align and attach platform for all optics i.e. fiber and die/chip/PIC connection and hybridization	RMB2.9mn to 9.9mn
Fiber line (FL)	Fiber-optic assembly and alignment	RMB1.6mn to 3.3mn
Stack line (SL)	Laser bar stacking/unstacking	RMB2.9mn to 3.3mn
Laser weld line (WL)	Micro-welding for ferruled optical components	RMB2.1mn to 3.3mn

Source: BofA Global Research, RoboTechnik

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RoboTechnik's testing equipment portfolio supports wafer-level, die-level, chip-level, and module-level testing of optical communication devices, including PICs, optical engines, optical transceivers and CPO modules. The equipment integrates optical coupling



verification, insertion-loss measurement, performance characterization, and reliability testing into a fully automated platform, enabling high-throughput and high-precision testing for SiPh transceivers, CPO products, etc.

Exhibit 16: RoboTechnik's testing equipment product lines cover wafer-level, die-level, chip-level, and module-level optical device testing

RoboTechnik's testing equipment portfolios

Product line	Features	ASP (RMB mn)
Wafer test line (WTL)	Wafer-level electro-optical testers, screening early defects and characterizing key parameters before further assembly	RMB4.1mn to 9.9mn
Die test line (DTL)	Die-level electro-optical testers for singulated PIC	RMB2.5mn to 6.6mn
Chip test line (CTL)	Chip-level electro-optical testers for hybrid chiplet, i.e. PIC+EIC, optical engine (OE)	RMB2.5mn to 6.6mn
Module test line (MTL)	Module-level electro-optical testers for modules integrated switch chips with CPO optical engines	RMB3.3mn to 5.8mn
AOI line (AOI)	Automated optical inspection	RMB2.1mn to 3.7mn

Source: BofA Global Research, RoboTechnik

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Driver #1: optical transceiver shipments to see 46% CAGR

Our [Global Tech team \(see report\)](#) forecasts global pluggable transceiver volumes to see a 46% CAGR over 2025-30, reaching 330mn units by 2030E. We therefore expect major transceiver manufacturers to continue expanding production capacity, driving growing demand for automated transceiver assembly and testing equipment. As a key equipment supplier, RoboTechnik should benefit from this capex up-cycle. We estimate the company's transceiver-related equipment revenue to see a 168% CAGR over 2025-28E, contributing 46%/42%/33% of total revenue in 2026E/27E/28E.

Exhibit 17: Optical transceiver equipment market size to reach RMB30bn+ in 2026E, with 67% CAGR over 2025-28E

TAM of optical transceiver manufacturing equipment

	2023	2024	2025	2026E	2027E	2028E
Optical transceivers shipment (mn units)						
800G	1.9	8.4	22.0	61.4	90.9	106.0
1.6T	0	0	1.1	17.3	44.4	86.6
3.2T	0	0	0	0	0.6	5.7
Incremental shipment (mn units)						
800G	1.8	6.5	13.6	39.4	29.5	15.1
1.6T	0	0	1.1	16.2	27.1	42.2
3.2T	0	0	0	0	0.6	5.1
Equipment Capex for 1mn units' optical transceivers capacity (RMB mn)						
800G	500	500	500	500	500	500
1.6T			675	675	675	675
3.2T					1,013	1,013
Equipment TAM for optical transceivers (RMB mn)						
800G	2,525	5,025	8,325	18,463	12,950	5,663
1.6T	-	-	3,476	12,774	27,962	25,380
3.2T	-	-	-	-	2,886	24,401
Total	2,525	5,025	11,801	31,237	43,798	55,444
Growth YoY		99%	135%	165%	40%	27%

Source: BofA Global Research estimates (Note: we assume 3-6 months' equipment leads time to estimate the optical transceivers equipment TAM; the forecast of optical transceivers shipment is according to our [global tech team's report](#), and our optical transceivers shipment forecast may up-revise in the future if AI GPU/ASIC shipments are higher-than-expected or AI network migrated to more complicated structure)

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According to our channel checks, optical transceiver manufacturers typically require RMB500-600mn of production equipment investment for every 1 million units of annual 800G transceiver capacity. As optical transceiver speeds migrate to the next level, equipment capex generally increases by 30-50% per generation, reflecting higher precision requirements, greater packaging complexity, and more sophisticated testing and inspection processes. We therefore estimate the global optical transceiver equipment TAM to reach RMB31bn in 2026 and grow a further 40%/27% YoY in 2027/28, supported by 1.6T and 3.2T optical transceiver capacity expansion.

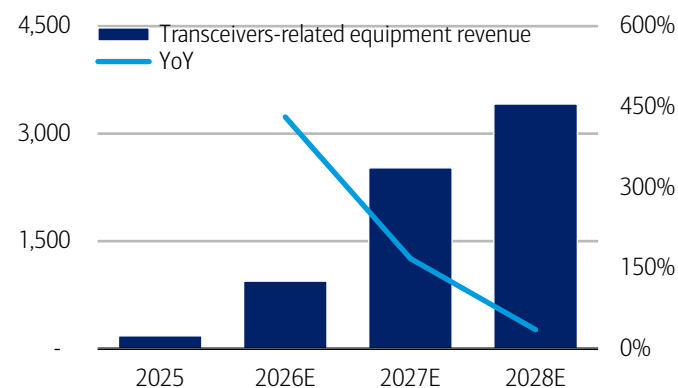


Current optical transceiver manufacturing relies on semi-automated production equipment combined with human-assisted operations. As optical transceiver data rates migrate from 400G to 800G/1.6T and eventually 3.2T, we expect rising precision requirements for optical alignment to drive greater adoption of automated assembly, active alignment, and testing equipment. RoboTechnik should benefit from this trend.

RoboTechnik's comprehensive equipment portfolio can support the automated manufacturing process for pluggable optical transceivers, delivering superior alignment precision, mass-production yield, and efficiency, as well as lower labor costs compared with transceiver manufacturers' in-house tooling and semi-automatic equipment. The company received more than RMB1.0bn of orders from a Nasdaq-listed company in March and April 2026 for pluggable SiPh transceiver coupling and testing equipment; per our checks, this customer is a US optical transceiver company. We expect this order to create a strong demonstration effect among Chinese optical transceiver makers and support wider adoption of RoboTechnik's transceiver equipment.

Exhibit 18: Optical transceivers as near-term driver

RoboTechnik's revenue from transceivers-related equipment (RMB mn)



Source: BofA Global Research estimates

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We also believe potential US FCC bans on imports of China-produced optical transceivers may accelerate overseas capacity expansion by Chinese optical transceiver vendors, driving growing capex outside China. This should boost procurement of automated transceiver manufacturing equipment, given lower labor efficiency and higher labor costs in overseas production compared with China.

Driver #2: CPO penetration to accelerate from 2028

Increasing CPO penetration to drive testing equipment demand

Our [Global Tech team \(see report\)](#) forecasts CPO penetration in total AI optical network ports to rise from 2% in 2027 to 6%/12%/17% in CY28/29/30, which we believe will drive demand for CPO manufacturing and testing equipment. According to our channel checks, RoboTechnik is working closely with TSMC and Nvidia on their CPO production ramp-up, with RoboTechnik supplying CPO testing equipment. Testing equipment is critical for CPO mass production because it can reject defective wafers/dies at an early stage, thereby reducing downstream packaging costs.

RoboTechnik's testing equipment portfolio includes wafer-level testers, including single-sided testers that can be used for CPO insertion 1 and double-sided testers that can be used for CPO insertion 2; die-level and chip-level testers, which can be used for CPO insertion 3; and module-level testers, which can be used for CPO insertion 4. Our channel checks suggest RoboTechnik is the key optical testing equipment supplier for Nvidia and TSMC's CPO insertion 2 and insertion 3 test steps, and it may expand to insertion 4 in the future. We expect RoboTechnik's ASP for insertion 2 equipment could exceed €\$1mn per unit, with insertion 3 equipment ASP of €\$1.5-2.0mn per unit including PIC and EIC testing; insertion 4 equipment may be even more expensive. Our industry checks also suggest RoboTechnik is collaborating with Teradyne to provide CPO insertion 2 testing platforms, with RoboTechnik providing optical testing equipment and Teradyne providing electrical testing equipment or automated test equipment (ATE). RoboTechnik has also received a US\$9.2mn order for single-sided wafer-level testing equipment, which may be from an Israel-based PIC foundry per our industry checks.

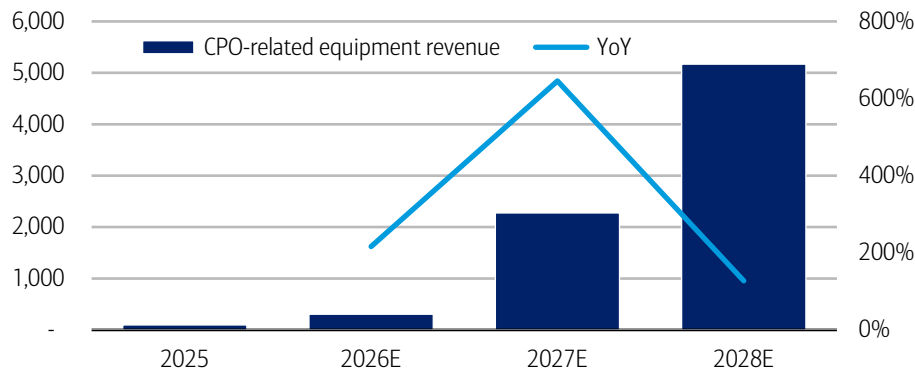
We expect RoboTechnik's technology know-how in double-sided wafer testing and optical engine testing, as well as its deep collaboration and accumulated R&D experience with CPO clients, to support its leading market share in insertion 2 and insertion 3 test equipment.

RoboTechnik's CPO equipment revenue to see 277% CAGR over 2025-28E

We estimate RoboTechnik's CPO-related equipment revenue to see a 277% CAGR over 2025-28, reaching RMB0.3bn/2.3bn/5.2bn and contributing 15%/38%/51% of total revenue in 2026E/27E/28E.

Exhibit 19: RoboTechnik's CPO revenue to take off from 2027

RoboTechnik's revenue from CPO-related equipment (RMB mn)



Source: BofA Global Research estimates

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Furthermore, as an intermediate solution between pluggable optical transceivers and CPO, NPO adoption should also bring incremental demand for RoboTechnik. As NPO production becomes increasingly modularized and transmission speeds migrate to 3.2T and above, we expect greater adoption of automated coupling/assembly and testing equipment to improve efficiency and throughput, hence should benefit RoboTechnik with its comprehensive offerings.

Driver #3: Google's OCS adoption to support demand**RoboTechnik equipment supports OCS component coupling and alignment**

Key OCS components, including FAUs, MEMS mirrors, and optical engines, require nanometer-level active alignment, low-loss coupling, and automated testing, as even tiny misalignments can cause severe insertion loss. RoboTechnik provides nano-level active alignment and coupling, laser welding, integrated in-line optical testing, and component and module assembly, supporting automated production of OCS components with stable yield. According to RoboTechnik's announcements in September 2025 and January 2026, its subsidiary ficonTEC received orders from a Swiss customer for two production lines of fully automated OCS packaging equipment, with a total order amount of over €17mn.

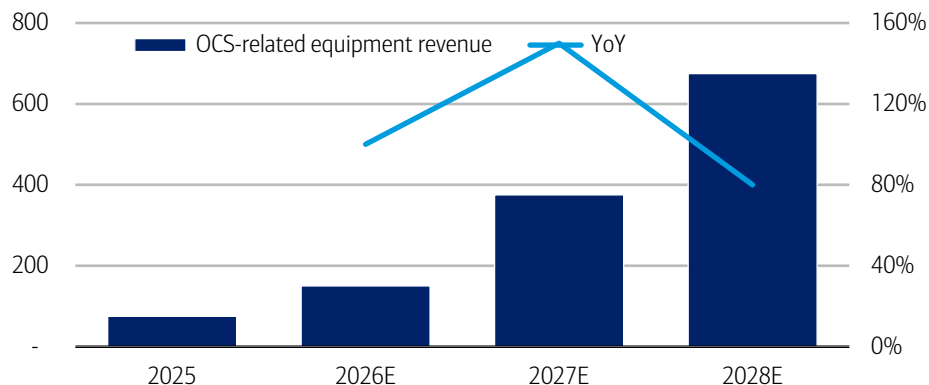
OCS equipment business to bring long-term upside

We expect Google's scaling of OCS to drive capex growth for OCS component manufacturing lines and encourage other CSPs to follow the OCS roadmap. This should help expand RoboTechnik's OCS-related order pipeline and improve the long-term growth outlook for its OCS-related equipment business. We estimate RoboTechnik's revenue from OCS-related equipment will see a 108% CAGR over 2025-28, reaching RMB150/375/675mn and contributing 7%/6%/7% of total revenue in 2026E/27E/28E.



Exhibit 20: Benefit from Google's OCS adoption ramp-up

RoboTechnik's revenue from OCS-related equipment (RMB mn)



Source: BofA Global Research estimates

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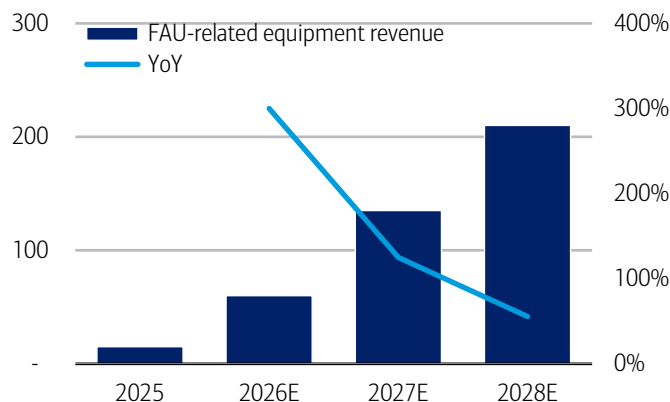
Driver #4: FAU automation demand

We see RoboTechnik's fiber-optic assembly equipment addressing two key bottlenecks in FAU fabrication: high-precision alignment and automation. RoboTechnik's six-axis active alignment equipment achieves linear motion resolution of up to 5nm, solving the pitch tolerance backed by years of accumulated know-how in optical coupling and mass production.

As FAU optical fiber channel counts increase from the current 20-36 channels to 60-160 channels, driven by higher-spec transceivers and NPO/CPO adoption, semi-automatic and manual assembly equipment may lead to inconsistent insertion loss and positioning errors. RoboTechnik's fully automatic fiber-optic assembly equipment supports high-accuracy assembly with lower labor intensity and higher efficiency.

Exhibit 21: Benefits from FAU automatic manufacturing demand

RoboTechnik's revenue from FAU-related equipment (RMB mn)



Source: BofA Global Research estimates

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Benefiting from automated FAU fabrication demand

According to RoboTechnik's announcement on 27 July 2026, its subsidiary ficonTEC received a €16.7mn order from a Nasdaq-listed company – a leading US optical fiber supplier, per our checks – for FAU-related automated manufacturing equipment. We believe growing FAU demand will boost demand for RoboTechnik's automated fiber-optic assembly equipment as more clients introduce automated FAU fabrication lines. We estimate RoboTechnik's FAU-related equipment revenue to deliver a 141% CAGR over 2025-28, contributing 3%/2%/2% of total revenue in 2026E/27E/28E.



PV equipment business: burden easing as resources shift to SiPh

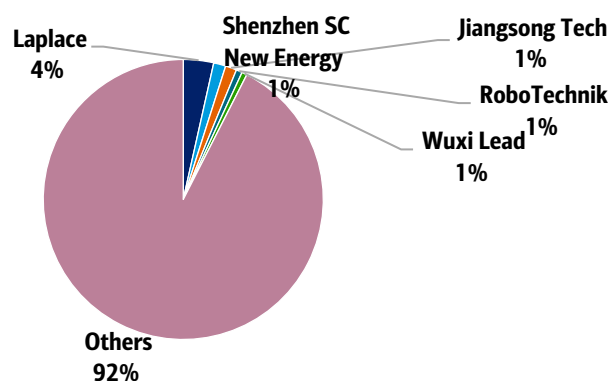
We expect RoboTechnik's PV equipment business to gradually stabilize over 2026-28, supported by its overseas project delivery. At the same time, we believe the company can progressively redeploy workforce and manufacturing resources from its PV operations to its fast-growing SiPh business. This should improve resource utilization, support SiPh capacity expansion, and gradually reduce the PV segment's drag on overall profitability.

RoboTechnik ranked top 5 in PV manufacturing automation equipment market

The global intelligent PV manufacturing equipment market is highly competitive and fragmented, with Chinese companies holding leading positions. Intelligent PV manufacturing equipment includes process equipment and automation equipment, with automation equipment accounting for 10% of the overall market. In 2024, RoboTechnik ranked among the top five in intelligent PV cell automation equipment by revenue, capturing 1% of the overall market.

Exhibit 22: Fragmented PV cell auto-manufacturing equipment market, RoboTechnik as top 5

Global PV cell automation manufacturing equipment market in 2024, in terms of revenue



Source: BofA Global Research, RoboTechnik

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Comprehensive PV manufacturing equipment portfolio

RoboTechnik's comprehensive PV cell manufacturing equipment portfolio covers key PV cell production steps, including material handling, testing and sorting, etching and texturing, alkaline polishing, and diffusion. We understand process automation equipment contributes the majority of its PV equipment shipments, mainly for material handling during PV cell production and the efficient, precise transfer of materials across processing stages from wafer loading to post-processing.

Exhibit 23: RoboTechnik mainly provides PV cell manufacturing process automation equipment

RoboTechnik's PV manufacturing equipment portfolio

Product	Key Features	ASP (RMB)
Wet Process Equipment	Intelligent equipment, energy consumption statistics and analysis function; high throughput and long bath lifetime	RMB1.2mn to RMB1.8mn
Process Automation Systems	Support MES interface and remote debug function	RMB1.0mn to RMB1.5mn
Tester and Sorter Systems	Support for MES integration and remote diagnostics; double-sided AOI inspection and double-sided IV inspection	RMB2.0mn to RMB5.0mn
Copper-Interconnect Solutions	A proprietary current distribution design that improves plating layer uniformity	RMB7.5mn

Source: BofA Global Research, RoboTechnik

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PV equipment business to be stable over 2026E-28E

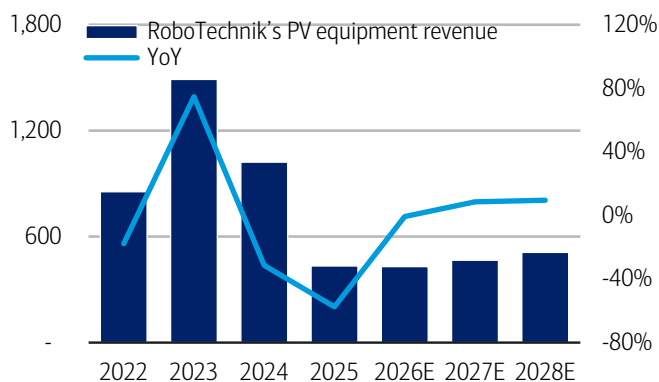
The company's PV equipment revenue declined 31% YoY in 2024 to RMB1.0bn and fell a further 58% YoY in 2025 to RMB433mn, due to: 1) slower capex and reduced capacity expansion by PV clients as the PV sector entered an oversupply period; and 2) RoboTechnik's strategic shift toward prioritizing order quality, which supported margins but limited revenue scale. Looking ahead, we expect the volatility in RoboTechnik's PV business during 2024-25 to gradually ease, with revenue and margin largely stable over 2026E-28E, mainly supported by its overseas project delivery.

Improving efficiency as PV resources shift to SiPh

We believe RoboTechnik can redeploy redundant PV business resources – including workforce, engineers, sales and administrative staff, factory buildings, warehouses, and logistics infrastructure – to its SiPh business. This should improve overall resource utilization, support SiPh capacity expansion, and gradually reduce the PV segment's drag on overall profitability.

Exhibit 24: PV equipment revenue to gradually bottom out from 2026E

RoboTechnik's PV equipment revenue (RMB bn)

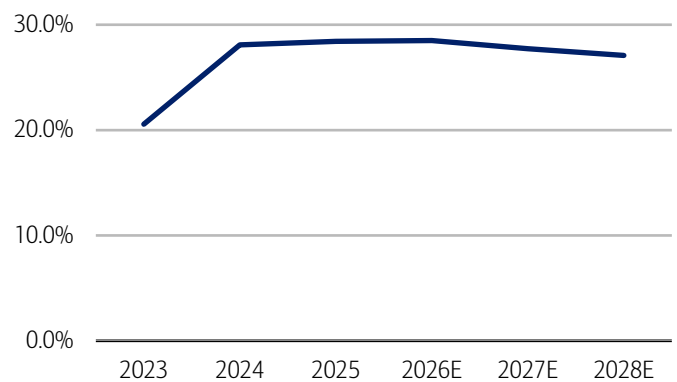


Source: BofA Global Research, RoboTechnik

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Exhibit 25: PV equipment GPM to remain at 27%+

RoboTechnik's PV equipment GPM



Source: BofA Global Research, RoboTechnik

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Intelligent PV manufacturing equipment market CAGR of 0.3% over 2024-29E

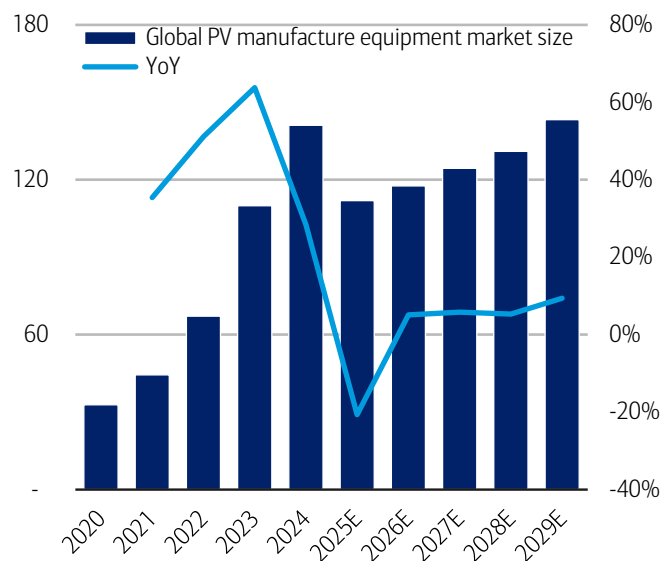
PV products include silicon wafers, cells and modules, with manufacturing processes comprising: 1) silicon wafer production; 2) cell fabrication; and 3) module assembly. Manufacturing high-end PV cells such as tunnel oxide passivated contact (TOPCon), heterojunction technology (HJT) and back contact cell (XBC) requires high levels of equipment precision and process control to ensure optimal energy conversion efficiency, yield, and long-term reliability.

The global PV manufacturing equipment industry delivered rapid growth between 2020 and 2024, driven by accelerated PV-sector investment since 2020. However, aggressive capacity expansion led to severe supply-demand imbalances across the PV industry, which entered a capacity adjustment cycle from 2025.

Per RoboTechnik's H-share prospectus, the global PV manufacturing equipment industry is expected to resume growth from 2026, with a 0.3% CAGR over 2024-29E, supported by a series of Chinese government policies aimed at stabilizing the PV industry cycle, including: 1) the National Energy Administration's 2025 Energy Work Guidelines (February 2025), which mandate reasonable wind and PV utilization rates; 2) the Ministry of Industry and Information Technology's (MIIT) July 2025 symposium directives to curb disorderly low-price competition and facilitate the exit of outdated capacity; and 3) the joint MIIT-SAMR Action Plan for Stable Growth in Electronic Information Manufacturing (2025-26) (September 2025), which legally regulates price wars and guides orderly local capacity layout.

Exhibit 26: PV equipment market CAGR at 0.3% over 2024-29E

Global PV manufacture equipment market size (RMB bn)

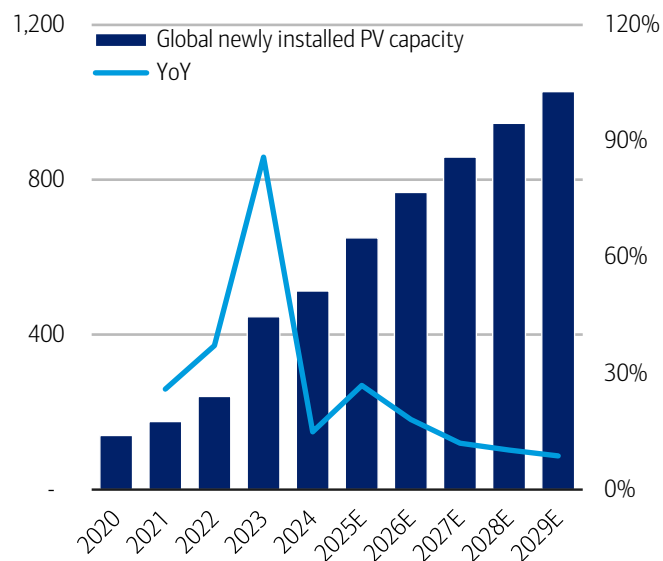


Source: BofA Global Research, RoboTechnik

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Exhibit 27: Newly installed PV capacity CAGR at 14.9% over 2024-29E

Global newly installed PV capacity (GW)



Source: BofA Global Research, RoboTechnik

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Key assumptions and financial statements

We project a 121% sales CAGR over 2025-28, and expect NPAT to turn positive in 2026 and deliver a 357% NPAT CAGR over 2026-28. Our key assumptions include:

Sales: We expect sales to reach RMB2.1/6.0/10.2bn in 2026/27/28, up 117%/190%/71% YoY, mainly driven by: 1) shipments of SiPh transceiver automatic assembly and coupling equipment, supported by surging transceiver volumes and rising automated-production demand; and 2) deliveries of CPO insertion 2 and insertion 3 test equipment, with CPO adoption taking off in 2028 and equipment orders likely to be front-loaded into 2026-27.

Margins: We project GPM of 37.4%/44.4%/48.9% in 2026/27/28, vs. 34.5% in 2025, supported by: 1) a higher blended ASP as high-ASP CPO test equipment and OCS equipment contribute more revenue; 2) an improved product mix as revenue exposure shifts toward higher margin SiPh equipment and away from lower-margin PV equipment; and 3) better production efficiency and lower depreciation and amortization from scale effects. For SG&A over 2026-28, we estimate the selling expenses-to-sales ratio at 6.5%/4.5%/3.0%, the G&A expenses-to-sales ratio at 8.0%/4.5%/3.0%, and the R&D expenses-to-sales ratio at 9.0%/7.5%/6.0%, as revenue grows faster than operating expenses and operating leverage improves. We therefore expect EBIT margin of 8.1%/24.3%/34.2% and NPM of 7.0%/20.6%/29.4% in 2026-28, driven by higher ASPs, better product mix, and greater contribution from the SiPh equipment business.

SiPh assembly and testing equipment: The segment accounted for 46%/48% of total sales/gross profit in 2025. By product, assembly/testing equipment accounted for 28%/19% of total sales and 26%/23% of total gross profit in 2025. We forecast segment sales to grow 253% YoY to RMB1.6bn in 2026, mainly driven by RMB1.0bn+ revenue recognition from SiPh transceiver-related orders placed by a US optical transceiver client. We forecast segment sales to grow 250%/77% YoY to RMB5.4/9.6bn in 2027/28, driven by deliveries of CPO insertion 2 and insertion 3 test equipment, as well as solid demand for SiPh transceiver automatic coupling and assembly equipment as major clients expand 800G/1.6T transceiver production capacity. We also forecast segment gross margin of 38.6%/45.5%/50.0% in 2026/27/28, supported by a higher blended ASP as CPO test equipment contributes more revenue.

PV manufacturing solutions: The segment accounted for 46%/38% of total sales/gross profit in 2025. By product, PV manufacturing equipment/intelligent manufacturing solutions accounted for 38%/7% of total sales and 35%/3% of total gross profit in 2025. We forecast segment sales to decline slightly by 1% YoY in 2026 amid continued PV industry headwinds, before growing 8%/9% YoY in 2027/28, supported by a recovery in PV installation growth in 2027 and overseas capacity expansion by PV producers. We also forecast segment gross margins to remain resilient at 28.5%/27.7%/27.1% in 2026/27/28, as management continues to prioritize project profitability over volume-driven growth.

Non-operating items, tax rate, and share count for EPS: We follow historical patterns for non-operating items. We assume the effective tax rate increases slightly to 10% as earnings turn positive. We use the latest weighted average outstanding share count of 168mn in 1Q26 to derive our EPS estimates for 2026-28.

NPAT (net profit after tax/net profit attributable to shareholders): The company recorded a net loss of RMB66mn in 2025, compared with NPAT of RMB64mn in 2024, mainly dragged by the PV manufacturing solutions segment, which faced significant industry-wide headwinds, and by rising operating expenses after the acquisition of ficonTEC. We forecast RoboTechnik's NPAT to turn positive at RMB144mn in 2026, then increase 754% YoY to RMB1.2bn in 2027 and 144% YoY to RMB3.0bn in 2028, driven by revenue growth and margin improvement from higher shipments of CPO testers and SiPh transceiver assembly equipment.



Balance sheet and cash flow: RoboTechnik has maintained a healthy cash balance despite the acquisition of subsidiaries ficonTEC and increased capex for capacity expansion. The company's FCF was RMB165mn in 2025, with an FCF margin of 17.3%. Its net debt-to-equity ratio was 61% in 2025, suggesting manageable leverage to support capacity expansion and R&D. The company's ROE was 8.3%/6.4% in 2023/24, before turning negative at -5.0% in 2025, primarily due to a net loss driven by weaker PV equipment demand, as well as higher depreciation and impairment charges. We forecast ROE to recover to 8.3% in 2026E and 51.0% in 2027E, supported by the growing contribution of the high-margin SiPh equipment business, which should drive earnings recovery and improve overall profitability.

Capex and dividend: We forecast RoboTechnik's capex-to-revenue ratio to remain at 5.5-6.5% in 2026-28, broadly in line with total revenue growth, as its business model requires relatively limited capital investment to expand production capacity. We believe the company may resume dividend payments once earnings return to positive territory, with the payout ratio likely to recover to around 15%, broadly in line with its historical average.

Exhibit 28: We expect NPAT to turn positive in 2026 and deliver 357% CAGR over 2026-28

Income statement (RMB mn)

(RMB mn)	2023	2024	2025	2026E	2027E	2028E
Total Revenue	1,572	1,106	950	2,065	5,982	10,226
YoY	74%	-30%	-14%	117%	190%	71%
COGS	1,213	789	622	1,293	3,328	5,221
Gross profit	359	318	328	773	2,653	5,004
GPM	22.8%	28.7%	34.5%	37.4%	44.4%	48.9%
Selling expenses	64	54	94	134	269	307
Admin expenses	59	39	110	165	269	307
R&D expenses	86	84	106	186	449	614
SG&A	209	177	310	485	987	1,227
SG&A as % of revenue	13.3%	16.0%	32.7%	23.5%	16.5%	12.0%
Other operating items	67	79	97	120	213	278
EBIT	83	61	(79)	167	1,454	3,499
EBIT margin	5.3%	5.5%	-8.4%	8.1%	24.3%	34.2%
D&A Expense	31	28	55	69	78	140
EBITDA	113	89	(24)	236	1,532	3,639
EBITDA Margin	7.2%	8.1%	-2.6%	11.4%	25.6%	35.6%
Net Finance Expense	11	19	34	62	150	235
Investment income	(0)	3	25	30	30	30
Other non-operating profit/(loss)	(10)	(21)	(66)	(84)	(84)	(84)
Profit before tax	82	60	(71)	159	1,358	3,318
Income tax expense	6	(3)	(5)	16	136	332
Minority interest	(1)	(1)	1	(1)	(10)	(24)
Net profit attributable to shareholders	77	64	(66)	144	1,232	3,010
NPM	4.9%	5.8%	-7.0%	7.0%	20.6%	29.4%
YoY	195%	-17%	NA	NA	754%	144%

Source: BofA Global Research, RoboTechnik

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Exhibit 29: SiPh equipment segment revenue CAGR at 180% over 2025-28E, with GPM improving from 36% in 2025 to 50% in 2028E

Segment breakdown (RMB mn)

(RMB mn)	2023	2024	2025	2026E	2027E	2028E
Silicon photonics equipment	-	50	439	1,552	5,423	9,614
Assembly equipment	-	50	263	987	2,431	3,262
Testing equipment	-	-	176	565	2,992	6,352
PV equipment	1,490	1,021	433	430	466	510
PV manufacturing equipment	1,465	976	363	350	361	378
Intelligent manufacturing solutions	25	46	70	79	105	132
Others	81	35	78	84	93	102
Total Revenue	1,572	1,106	950	2,065	5,982	10,226
YoY						
Silicon photonics equipment	NA	NA	775%	253%	250%	77%
Assembly equipment	NA	NA	424%	275%	146%	34%
Testing equipment	NA	NA	NA	221%	430%	112%
PV equipment	75%	-31%	-58%	-1%	8%	9%
PV manufacturing equipment	122%	-33%	-63%	-4%	3%	5%
Intelligent manufacturing solutions	-87%	81%	53%	13%	33%	26%
Others	62%	-57%	124%	9%	10%	10%
Total Revenue	74%	-30%	-14%	118%	190%	71%
Mix						
Silicon photonics equipment	0%	5%	46%	75%	91%	94%
Assembly equipment	0%	5%	28%	48%	41%	32%
Testing equipment	0%	0%	19%	27%	50%	62%
PV equipment	95%	92%	46%	21%	8%	5%
PV manufacturing equipment	93%	88%	38%	17%	6%	4%
Intelligent manufacturing solutions	2%	4%	7%	4%	2%	1%
Others	5%	3%	8%	4%	2%	1%
Total Revenue	100%	100%	100%	100%	100%	100%
GPM						
Silicon photonics equipment	NA	27.9%	36.1%	38.6%	45.5%	50.0%
Assembly equipment	NA	27.9%	32.0%	35.0%	40.0%	48.0%
Testing equipment	NA	NA	42.1%	45.0%	50.0%	51.0%
PV equipment	20.6%	28.1%	28.4%	28.5%	27.7%	27.1%
PV manufacturing equipment	20.4%	28.6%	31.3%	32.0%	32.0%	32.0%
Intelligent manufacturing solutions	28.9%	17.1%	13.2%	13.0%	13.0%	13.0%
Others	46.7%	47.7%	60.2%	60.0%	60.0%	60.0%
Overall GPM	22.8%	28.7%	34.5%	37.4%	44.4%	48.9%

Source: BofA Global Research, RoboTechnik

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Exhibit 30: The company maintains a healthy balance sheet, with manageable leverage, adequate liquidity, and improving cash generation

Balance Sheet (RMB mn)

(RMB mn)	2023	2024	2025	2026E	2027E	2028E
Cash and cash equivalents	239	300	284	507	832	3,036
Account receivables	286	441	678	826	1,495	1,534
Note receivables	76	77	73	165	479	818
Inventory	501	205	410	453	999	1,305
Others	629	549	337	337	337	337
Current assets	1,731	1,573	1,783	2,288	4,142	7,030
PP&E	292	277	348	392	703	1,126
Intangible assets	54	58	236	236	236	236
Goodwill	8	8	995	995	995	995
Others	483	449	280	280	280	280
Non-current assets	836	792	1,859	1,903	2,214	2,637
Total assets	2,567	2,365	3,642	4,191	6,356	9,667
Short-term borrowings	641	923	918	918	918	918
Account payables	523	196	366	517	1,165	1,305
Note payables	117	1	-	13	33	52
Others	286	201	347	347	347	347
Current liabilities	1,567	1,321	1,631	1,795	2,463	2,622



Exhibit 30: The company maintains a healthy balance sheet, with manageable leverage, adequate liquidity, and improving cash generation

Balance Sheet (RMB mn)

(RMB mn)	2023	2024	2025	2026E	2027E	2028E
Long-term borrowings	20	39	303	545	842	1,192
Others	0	-	37	37	37	37
Non-current liabilities	20	39	340	582	878	1,228
Total liabilities	1,587	1,360	1,971	2,377	3,341	3,850
Shareholders' equity	982	1,008	1,673	1,817	3,017	5,819
Minority interest	(2)	(3)	(2)	(2)	(2)	(2)
Total equity	980	1,005	1,671	1,814	3,015	5,816

Source: BofA Global Research, RoboTechnik

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Exhibit 31: Increasing cash at end of year with capex discipline, thanks to its asset-light business model

Cash Flow Statement (RMB mn)

(RMB mn)	2023	2024	2025	2026E	2027E	2028E
Profit before minority interest	76	63	(66)	143	1,222	2,986
D&A	31	28	55	69	78	140
Provision for asset impairment	61	69	88	-	-	-
Working capital changes	(240)	(480)	118	(119)	(860)	(525)
Others	44	2	13	-	-	-
Net Operating CF	(28)	(317)	208	94	440	2,600
Capex	(9)	(25)	(43)	(114)	(389)	(562)
Acquisition of subsidiaries	-	-	(607)	-	-	-
Others	22	(30)	(24)	-	-	-
Net Investing CF	13	(55)	(674)	(114)	(389)	(562)
Free Cash Flow	(36)	(342)	165	(20)	51	2,038
Issuance of equity capital	-	11	363	-	-	-
Cash received from borrowings	525	1,045	1,573	1,048	1,222	1,400
Cash repayments of borrowings	(445)	(552)	(1,419)	(805)	(926)	(1,050)
Others	(30)	(50)	(84)	-	(22)	(185)
Net Financing CF	50	454	433	242	275	165
Effect of foreign exchange rate changes	2	2	(1)	-	-	-
Net Cash Change	37	83	(35)	222	326	2,203
Cash at beginning of year	178	215	299	264	486	812
Cash at end of year	215	299	264	486	812	3,015

Source: BofA Global Research, RoboTechnik

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Key risks

Upside risks

1) faster-than-expected ramp-up of CPO penetration: We currently forecast CPO penetration in total AI network ports at 8%/22%/31% by CY28/29/20. Faster-than-expected CPO penetration could drive stronger-than-expected sales growth in the CPO testing equipment business.

2) higher-than-expected capex by optical manufacturers and hyperscalers: Higher-than-expected AI infrastructure capex by hyperscalers would likely boost optical transceiver demand and drive higher capex by transceiver makers. This would further increase demand for RoboTechnik's SiPh transceiver assembly equipment and could support stronger-than-expected sales growth.

3) wider-than-expected adoption of fully automated equipment by Chinese transceiver vendors: Stricter export restrictions on Chinese transceiver vendors may accelerate their overseas capacity expansion, boosting demand for RoboTechnik's automated SiPh transceiver assembly equipment, given the shortage of experienced labor and potentially higher labor costs outside China.

4) better-than-expected recovery in PV equipment demand: A rebound in solar industry capex, supported by technology upgrades, could provide incremental growth and profitability beyond our current expectations.

Downside risks

1) slower-than-expected adoption and commercialization of CPO and OCS: Delays in CPO/OCS deployment by hyperscalers could postpone demand for CPO test and OCS manufacturing equipment, weakening RoboTechnik's earnings growth.

2) slower-than-expected AI capex growth: Slower-than-expected AI application monetization may lead to softer AI infrastructure capex, weighing on optical transceiver demand and reducing capex by hyperscalers and transceiver manufacturers. This could create downside risk to RoboTechnik's order growth.

3) prolonged weakness in the PV equipment industry: If PV industry overcapacity persists, this could further weigh on the recovery of RoboTechnik's legacy PV business and overall profitability.



Company background

RoboTechnik Intelligent Technology Co., Ltd. (RoboTechnik) is a Chinese intelligent manufacturing equipment supplier with operations spanning PV manufacturing solutions and optical communication device manufacturing equipment. The company was founded in 2011 and listed on the Shenzhen Stock Exchange (SSE) in 2019.

Exhibit 32: The company was founded in 2011 and listed on the SSE in 2019

RoboTechnik's history

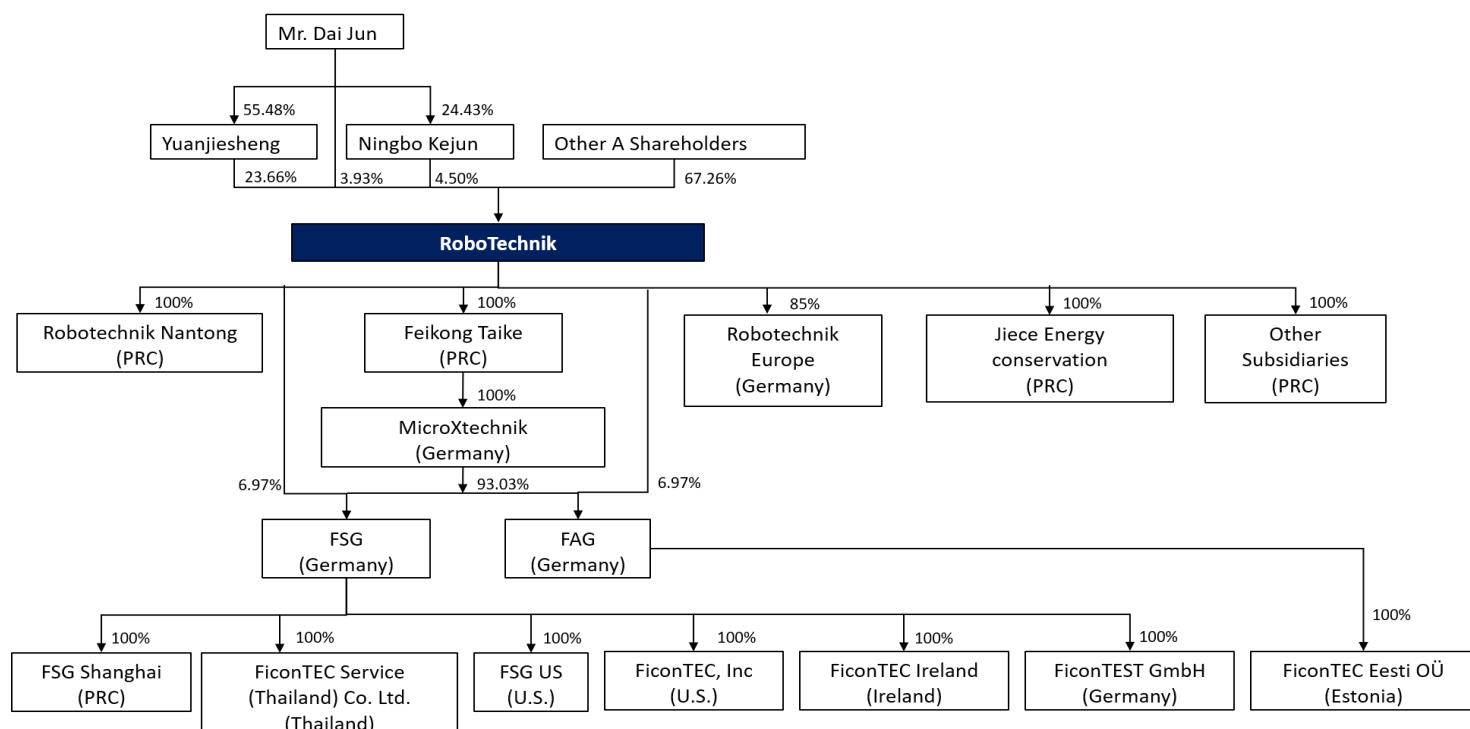
Year	Events
2011	The company was established in Suzhou, Jiangsu Province of China.
2012	RoboTechnik developed its first plate-type PECVD PV cell automated manufacturing equipment.
2013	RoboTechnik launched various PV automation equipment, including color-difference sorting machines, silicon wafer sorters, diffusion automated loading and unloading system and tubular PECVD equipment.
2014	The company introduced inline inspection modules and data analytics tools for PV automation equipment.
2017	The company's intelligent factory system technology was first developed in the PV sector.
2019	RoboTechnik's A Shares have been listed on the ChiNext of the Shenzhen Stock Exchange (SSE).
2020	RoboTechnik acquired a minority interest in ficonTEC, and began to expand into the SiPh sector. The company launched the strategic acquisition of the remaining equity interest in ficonTEC to deepen its presence in the SiPh sector; RoboTechnik collaborated with ficonTEC to deliver fully automated assembly line for automotive camera systems to Valeo, a leading global automotive electronics and components manufacturer customer.
2023	RoboTechnik was awarded the certificate of the Specialized, Sophisticated, Special and New "Little Giant" Enterprise (专精特新「小巨人」企业) by MIIT.
2024	RoboTechnik completed the strategic acquisition of ficonTEC, following which ficonTEC became the company's wholly owned subsidiary.
2025	

Source: RoboTechnik

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Exhibit 33: RoboTechnik shareholding structure

RoboTechnik shareholding structure



Source: RoboTechnik

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Exhibit 34: RoboTechnik Management Team

RoboTechnik Management Team

Name	Title	Background
Dai Jun (戴軍)	Chairman, CEO, Executive Director	Mr. Dai Jun, born in 1974, holds a bachelor's degree in Casting Process and Equipment from Harbin University of Science and Technology, a Master of Business Administration from Fudan University in the PRC, and a Doctor of Business Administration from City University of Hong Kong. Prior to founding Robotechnik, Mr. Dai held engineering, product management and sales management positions at Universal Instruments, Henkel (China) Co., Ltd., and Valor Computerized Systems Ltd., and later served as General Manager of Yuanjiesheng. Mr. Dai founded Robotechnik in 2011 and served as General Manager from 2011 to 2019 before assuming the role of CEO in 2019. He has also played a key role in the Group's strategic expansion into silicon photonics and advanced optical packaging through the acquisition and integration of ficonTEC. Mr. Dai is primarily responsible for formulating and promoting strategies and major decisions of the company, the day-to-day management of the company, and maintaining key external relationship.
Torsten Vahrenkamp	Executive Director, CEO of ficonTEC	Mr. Torsten Vahrenkamp, born in 1972, holds a Diploma for Applied Laser Technologies from the University of Applied Sciences in Emden, Germany. He is the founder of ficonTEC and has been the CEO of ficonTEC since 2009. He was appointed as an Executive Director of RoboTechnik in 2025. Before founding ficonTEC in 2001, Mr. Vahrenkamp worked at the Institute of Laser Technology in Emden, Germany and at the University of Loughborough, the United Kingdom, where he built a fully automated laser lithography system for rapid generation of microstructures in sub-micron dimensions. He is primarily responsible for promoting development strategies and major decisions of our Group, day-to-day management of ficonTEC, directing R&D, and developing and maintaining key industry relationship.
Li Liangyu (李良玉)	Executive Director, Secretary of the Board	Ms. Li Liangyu, born in 1986, holds a bachelor's degree and a master's degree in accounting from Central South University in the PRC. Ms. Li was the Company's representative of securities affairs from July 2016 to October 2021 and has served as the secretary of the Board since October 2021. She is primarily responsible for supervising corporate governance, information disclosure, operation of the Board committees, equity management and maintaining investor relationship.
Li Weibin (李偉彬)	Vice President and Operation Director	Mr. Li Weibin, born in 1972, holds a bachelor's degree majoring in casting processes and equipment from Harbin University of Science and Technology in the PRC. Mr. Li joined RoboTechnik in 2012 and has held several key management roles, including Deputy Chairman, Deputy General Manager, and Operations Director, etc. He is primarily responsible for routine operational management, overseeing core business and functional departments, driving sustainable growth of the company, and optimizing corporate governance.
Liu Yang (劉洋)	Finance Director	Mr. Liu Yang, born in 1989, holds a bachelor's degree in auditing from Nanjing Audit University and a master's degree in accounting from Fudan University in the PRC. Mr. Liu has been qualified as a member of the Chinese Institute of Certified Public Accountants and a member of China Certified Tax Agents Association. Before joining the company, Mr. Liu was a senior finance manager at China Tianying Inc and an audit manager at ZHONGXINGHUA Certified Public Accountants. Mr. Liu is primarily responsible for establishing effective financial management system, coordinating fund and capital operation, ensuring financial reporting compliance and supervising tax planning and risk control.

Source: RoboTechnik

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Optical interconnects industry 101

Optical communication is crucial to high-speed AI networks

With AI model parameters expanding into the trillions, we see significant demand growth for high-speed, low-latency network connectivity to enable rapid data transmission and synchronization across chips, racks and data centers. Optical communication uses light to transmit and process data, forming the foundation of fiber-optic communications in data center networks.

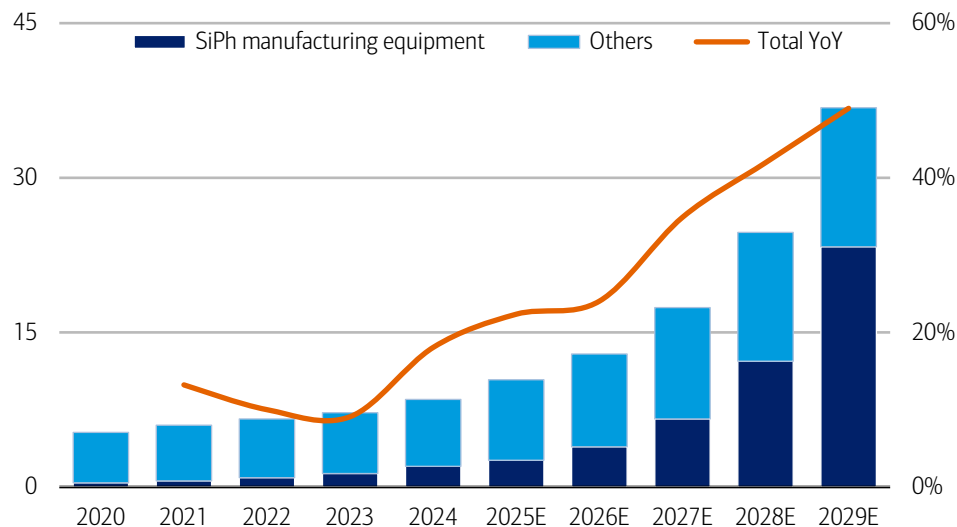
Silicon photonics (SiPh) is an advanced optical communication technology that integrates photonic/optical components onto silicon substrates, enabling PICs that transmit data using photons rather than electrons. SiPh adoption enables chip-to-chip optical interconnects to evolve from bulky, discrete optical components to compact, highly integrated solutions with lower production costs and smaller form factors, making SiPh a critical enabler of sustainable AI and data-intensive computing.

SiPh equipment market growing at 64% CAGR, driven by SiPh device adoption

The optical communication manufacturing equipment market is expected to see a 34% CAGR over 2024-29. Within this, the SiPh manufacturing equipment market is expected to post a 64% CAGR over 2024-29, driven by a solid capex cycle among optical transceiver vendors, on: 1) rising demand for SiPh transceivers, which offer higher integration and power efficiency than EML-based transceivers; and 2) adoption of new optical interconnection technologies, including NPO/CPO/OCS, enabled by SiPh technology.

Exhibit 35: SiPh manufacturing equipment market CAGR at 64% over 2024-29E

Market size of photonics manufacturing equipment (RMB bn)

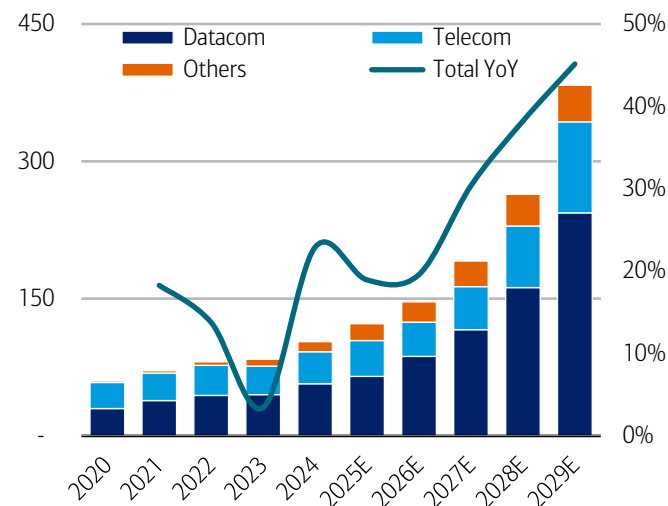


Source: Semiconductor Equipment and Materials International, World Semiconductor Trade Statistics, Yole Group, Light Counting, CIC, BofA Global Research

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Exhibit 36: Photonics applications market CAGR at 30% over 2025-29E

Global market size of photonics applications by downstream (RMB bn)

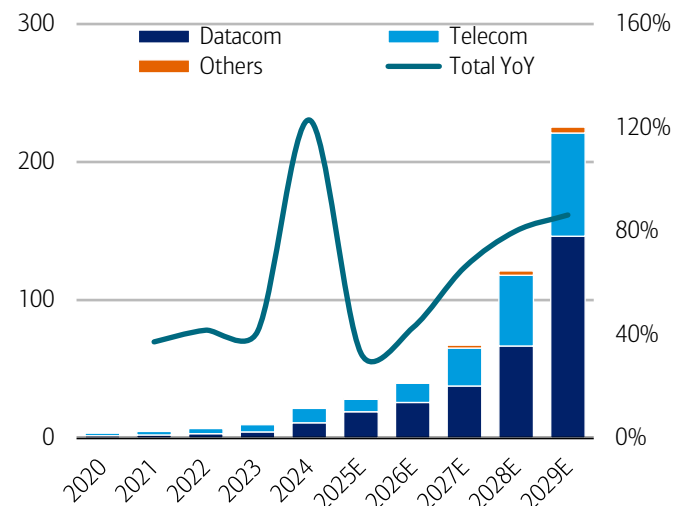


Source: Yole Group, International Organization of Motor Vehicle Manufacturer, CIC, BofA Global Research

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Exhibit 37: SiPh applications market CAGR at 60% over 2024-29E

Global market size of SiPh applications by downstream (RMB bn)



Source: Yole Group, CIC, BofA Global Research

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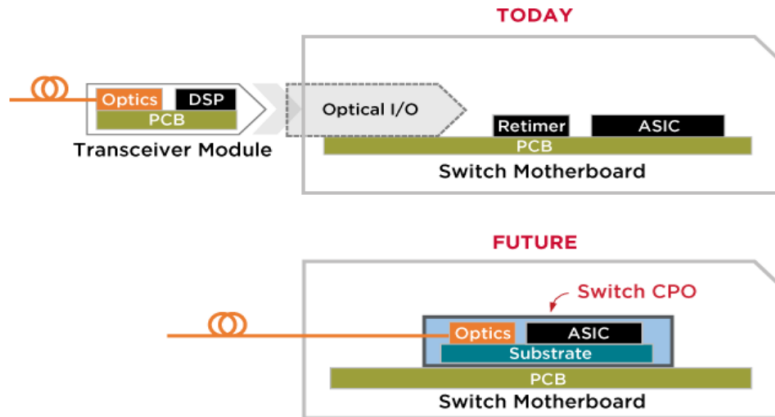
CPO as critical next-generation interconnection solution for AI data centers

CPO is a chip-to-chip optical interconnect architecture that integrates SiPh devices, or optical engines, and switch/compute ASICs within the same package. This reduces the need for power-consuming retimers and optical signal processing, while delivering ultra-high bandwidth, low latency, and higher energy efficiency for data center interconnects compared with traditional pluggable optical transceiver interconnects.



Exhibit 38: CPO integrates the optics directly onto the switch ASIC substrate, with shorter travel distance of data signals (lower signal loss) and through SiPh rather than PCB copper traces (higher bandwidth)

Traditional switch – pluggable optical module design (top) vs. CPO integrated design (bottom)



Source: Broadcom, BofA Global Research

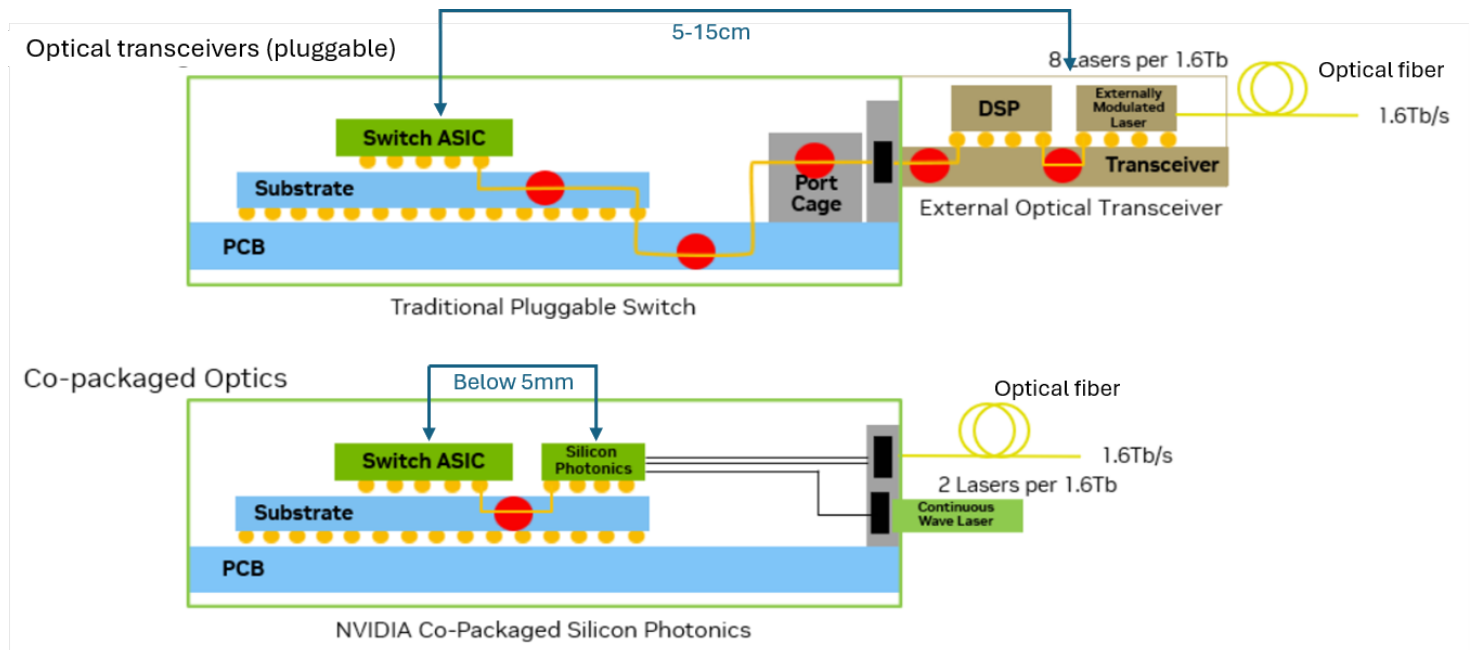
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CPO adoption to gradually ramp up to improve system power efficiency

Traditional network switches that use pluggable transceivers require signals to travel through multiple electrical interfaces – from the switch ASIC, across the PCB and connectors, to the transceiver before optical conversion – resulting in significant electrical loss of up to 22 dB at 200G per lane, compared with 4 dB for CPO. This results in higher power consumption for pluggable transceivers, at up to 30W per interface, vs. 9W per interface for CPO, leading to greater heat generation and more potential failure points and reducing system reliability as AI deployments scale. We believe CPO adoption will continue to rise in AI data centers with limited power-supply budgets.

Exhibit 39: CPO optical engine locates closer to switch ASIC, delivering better power efficiency and signal integrity vs. pluggable transceivers

Pluggable optical transceivers (top) vs CPO (bottom)



Source: Nvidia, BofA Global Research

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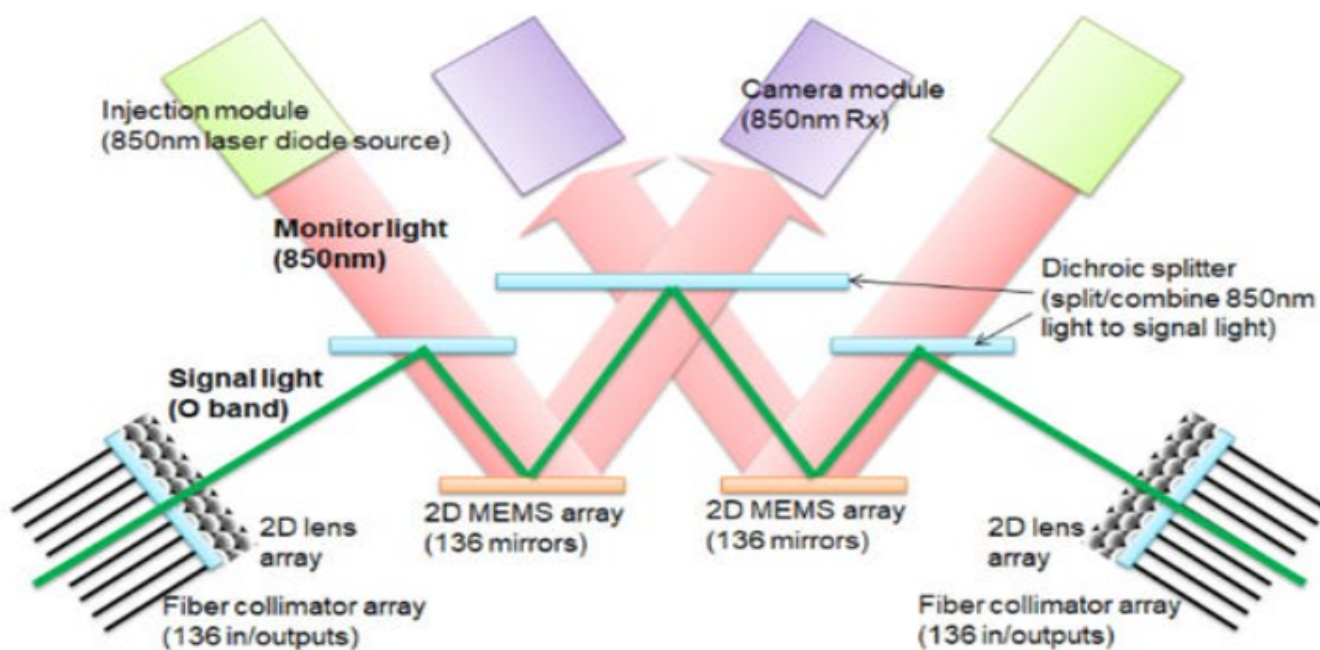
OCS as next-generation AIDC switch, with 30% shipment CAGR over 2024-29E

Conventional optical-electrical-optical (OEO) switches are reaching limitations in AI use-cases that require greater data transmission scalability, while converting signals from the optical to electrical domain requires higher power consumption as data throughput surges. Optical circuit switches (OCS) optimize data center networks by using all-optical switches to route light paths directly between fibers without converting signals to electricity, reducing power consumption and latency.

Google has adopted OCS in its TPU supercomputing clusters and confirmed that its OCS solution reduces total system power consumption by 41% while delivering higher throughput and lower overall cost. LightCounting projects global OCS switch shipments to rise from c.13.5K units in 2024 to more than 50K units in 2029, representing a CAGR of c.30%, driven by robust demand from AI clusters.

Exhibit 40: OCS operates a direct optical signal connection vs. electrical/optical signals conversion in traditional switch

Optical circuit switch (OCS) diagram (MEMS-based example from Google)



Source: Google

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Appendix: What you need to know

Optical equipment

What does optical equipment do? Optical equipment, or optical communications device manufacturing equipment, is used to assemble, couple, align, package and test optical communication devices, including optical transceivers, co-packaged optics (CPO) modules, fiber array units (FAUs), lasers and related components. Through high-precision optical alignment, assembly and testing, these devices enable high-speed optical signal transmission in data centers and AI networks.

Optical transceivers

What do optical transceivers do? Optical transceivers convert electrical signals into optical signals for transmission through optical fibers, and convert optical signals back into electrical signals at the receiving end. They rely on lasers to generate optical signals and photodetectors to receive and process incoming light, enabling high-speed data communication among servers, switches and network equipment. Optical transceivers are widely used in data centers, telecommunications networks and AI infrastructure because they offer high bandwidth, low latency and low power consumption.

Optical coupling

What is optical coupling? Optical coupling is the process of aligning optical components so that light can be transferred efficiently from one component to another. In optical transceivers and silicon photonics devices, it determines how much optical power can be transmitted between fibers, lasers, lenses and photonic chips, making it critical to signal quality, insertion loss and manufacturing yield.

Insertion loss

What is insertion loss? Insertion loss is the optical power loss that occurs when light passes through an optical component or coupling interface, typically because optical components are not precisely aligned. It is a key metric for evaluating signal transmission efficiency in optical transceivers, CPO, NPO and other SiPh devices.

Switches

What do switches do? Switches, or Ethernet switches, connect, aggregate and route data traffic across servers, GPUs, storage systems and network devices within data centers and AI clusters. Through high-speed switching ASICs and network fabrics, switches enable low-latency, high-bandwidth communication among computing resources, supporting large-scale AI training, inference workloads and cloud services.

Scale-up network

What is a scale-up network? A scale-up network connects accelerators such as GPUs, TPUs or XPU within a single AI server system, or within the same computing domain. Its communication mechanism relies on ultra-high-bandwidth, low-latency interconnects that enable processors to share memory, synchronize workloads and perform distributed computing efficiently. Scale-up networks are critical for AI training because they allow multiple processors to operate as a unified computing system.

Scale-out network

What is a scale-out network? A scale-out network connects multiple computing domains across servers, GPU racks or a data center. Its communication mechanism relies on high-speed optical interconnects and switches to transfer data between distributed systems, enabling workloads to scale beyond a single cluster. Scale-out networks are essential for large-scale AI training and cloud computing because they support coordination across thousands of processors, multiple racks and facilities.

FAU

What is FAU? A fiber array unit (FAU) is a high-precision passive optical component that arranges multiple optical fibers with micrometer-level precision on a V-groove substrate. It serves as the optical interconnect interface between SiPh/PIC/optical engines and optical fibers, enabling multi-channel optical coupling and low-loss signal transmission.

PV equipment

What does PV equipment do? PV (photovoltaic) equipment, or PV cell fabrication equipment, is used to manufacture solar cells and modules that convert sunlight into electricity. PV equipment includes material handling, testing, sorting, etching, texturing, diffusion, PECVD, metallization and module assembly systems, which process silicon wafers into finished solar cell products.

Exhibit 41: Abbreviations
List of abbreviations used in the report

Abbreviation	Full form
AIDC	Artificial Intelligence Data Center
AOC	Active Optical Cable
AOI	Automated Optical Inspection
ASP	Average Selling Price
ASIC	Application-Specific Integrated Circuit
ATE	Automated Test Equipment
CAGR	Compound annual growth rate
CPO	Co-Packaged Optics
CSP	Cloud Service Providers
EIC	Electronic Integrated Circuit
EPS	Earnings Per Share
FAU	Fiber array unit
FCC	Federal Communications Commission
GPM	Gross profits margin
GPU	Graphics Processing Unit
Ins1	Insertion 1
Ins2	Insertion 2
Ins3	Insertion 3
Ins4	Insertion 4
LPO	Linear-drive Pluggable Optics
OCS	Optical circuit switches
PECVD	Plasma-Enhanced Chemical Vapor Deposition
PIC	Photonic Integrated Circuit
PV	Photovoltaics
MEMS	Micro-Electro-Mechanical Systems
NPAT	Net Profit After Tax
NPO	Near-Packaged Optics
R&D	Research and development
ROE	Return on Equity
SiPh	Silicon Photonics
SSE	Shanghai stock exchanges
TAM	Total addressable market
TPU	Tensor Processing Unit
XPU	Accelerated Processing Unit

Source: BofA Global Research

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Price objective basis & risk

RoboTechnik (XYICF)

Our RMB630 price objective is based on 35x 2028E P/E, largely in-line with its optical equipment peers' average 2028E P/E. Our applied 35x PE reflects RoboTechnik's unique position in global AI optical equipment supply chain (especially CPO-related), and is supported by the company's superior growth profile (357% EPS CAGR over 2026-28E), low PEG ratio (0.2x), expanding ROE to 50%+ in 2028E, as well as improving GPM driven by higher ASP with CPO/OCS-related equipment delivery.

Risks are: 1) slower-than-expected adoption and commercialization of CPO and OCS, 2) weaker-than-expected optical transceivers producers' capex cycle, 3) fiercer competition in automated transceivers manufacturing equipment, 4) prolonged weakness in the PV equipment industry.

Analyst Certification

I, Matty Zhao, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Equity Ventures, Inc.	ABOIF	AEV PM	Julian Roxas
	AirTAC	ATCXF	1590 TT	Ming Hsun Lee, CFA
	Anhui Heli	AHUHF	600761 CH	Summer Wang, CFA
	Anhui Yingliu	XANHf	603308 CH	Fiona Liang
	Ayala Corporation	AYYLF	AC PM	Russ Toribio
	Centre Testing International	XCTEF	300012 CH	Yikai Liu, CFA
	Daifuku	DAIUF	6383 JP	Kenjin Hotta
	Daikin Industries	DKILF	6367 JP	Kenjin Hotta
	Daikin Industries	DKILY	DKILY US	Kenjin Hotta
	Envicool	XPTIF	002837 CH	Yibing Xia
	GeekPlus	BGTCF	2590 HK	Summer Wang, CFA
	Goldwind	XJNGF	2208 HK	Gary Tsang
	GTCAP	GTHOF	GTCAP PM	Russ Toribio
	Guangdong Songfa	XDZGF	603268 CH	Amy Han
	Hainan Jinpan	XKZNF	688676 CH	Matty Zhao
	Hangcha Group	XXCLF	603298 CH	Summer Wang, CFA
	Hangzhou Great Star	XNZLF	002444 CH	Fiona Liang
	Hankuk Carbon	HKUCF	017960 KS	KJ Hwang
	Han's Laser	XHQTF	002008 CH	Summer Wang, CFA
	Hanwha Aerospace	SSASF	012450 KS	KJ Hwang
	HD Hyundai Electric	XPELF	267260 KS	Sun Jung Lee
	HD Hyundai Heavy Industries	XHZXF	329180 KS	KJ Hwang
	Himile	XMSVF	002595 CH	Fiona Liang
	Hiwin Technologies	HITF	2049 TT	Ming Hsun Lee, CFA
	Huaming Equipment	XKTIF	002270 CH	Matty Zhao
	IHI	IHICF	7013 JP	Kenjin Hotta
	Inovance Technology	XMYRF	300124 CH	Ming Hsun Lee, CFA
	Jiangsu Hengli Hydraulic Co., Ltd	XHDCF	601100 CH	Ming Hsun Lee, CFA
	Kawasaki Heavy Industries	KWHIF	7012 JP	Kenjin Hotta
	Keyence	KYCCF	6861 JP	Kenjin Hotta
	Korea Aerospace	XAQHF	047810 KS	KJ Hwang
	LIG Defense & Aerospace	XLQUF	079550 KS	KJ Hwang
	LS Electric	LGXSF	010120 KS	Sun Jung Lee
	Makita	MKEWF	6586 JP	Kenjin Hotta
	Mingyang Smart Energy	XLARF	601615 CH	Charlotte Xia
	Mitsubishi Heavy Industries	MHVYF	7011 JP	Kenjin Hotta
	Mitsui E&S	MIESF	7003 JP	Yuri Nishizaki



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	MNC Solution	XZXR	484870 KS	Dongho Shin
	Nabtesco	NCTKF	6268 JP	Kenjin Hotta
	Namura Shipbuilding	NMRSF	7014 JP	Yuri Nishizaki
	NARI Technology	XLODF	600406 CH	Matty Zhao
	OMRON Corporation	OMRNF	6645 JP	Kenjin Hotta
	OMRON Corporation	OMRNY	OMRNY US	Kenjin Hotta
	RoboTechnik	XYICF	300757 CH	Matty Zhao
	Samsung Heavy Industries	SMSHF	010140 KS	KJ Hwang
	Sany Heavy Industry Co., Ltd	SHVYF	600031 CH	Ming Hsun Lee, CFA
	Sany Heavy Industry Co., Ltd	XHEVF	6031 HK	Ming Hsun Lee, CFA
	Sany International	SNYYF	631 HK	Summer Wang, CFA
	SATS Limited	SPASF	SATS SP	Nathan Gee, CFA
	Shenling	XSRLF	301018 CH	Yibing Xia
	Shenzhen Megmeet	XMMLF	002851 CH	Yikai Liu, CFA
	Sieyuan Electric	XUJKF	002028 CH	Matty Zhao
	Sinexcel	XSBEF	300693 CH	Summer Wang, CFA
	Sinotruk Hong Kong Ltd	SHKLF	3808 HK	Fiona Liang
	SM Investments Corporation	SVTMF	SM PM	Russ Toribio
	SMC	SMECF	6273 JP	Kenjin Hotta
	SMC	SMCAY	SMCAY US	Kenjin Hotta
	ST Engineering	SGGKF	STE SP	Jessie Lo
	Suzhou Maxwell Technologies	XSMTF	300751 CH	Gary Tsang
	TGOOD	XQGDF	300001 CH	Yikai Liu, CFA
	THK	THKLF	6481 JP	Kenjin Hotta
	UBTECH	UBTRF	9880 HK	Ming Hsun Lee, CFA
	Weichai Power Co. Ltd	WEICF	2338 HK	Fiona Liang
	Weichai Power Co. Ltd	XWPEF	000338 CH	Fiona Liang
	XCMG Construction Machinery Co Ltd	XVPZF	000425 CH	Ming Hsun Lee, CFA
	XJ Electric	XJECF	000400 CH	Matty Zhao
	Yangzijiang Shipbuilding	YSHLF	YZJSGD SP	Amy Han
	Yaskawa Electric	YASKF	6506 JP	Kenjin Hotta
	Yuchai International	CYD	CYD US	Fiona Liang
	Zhejiang Supcon Technology	XDXFF	688777 CH	Yikai Liu, CFA
	Zoomlion Heavy Industry	XLRYF	000157 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	ZLIOF	1157 HK	Ming Hsun Lee, CFA
NEUTRAL				
	D&L Industries, Inc.	DALQF	DNL PM	Philip Albert Felix
	Dongguan Yiheda Automation	XDXXF	301029 CH	Yikai Liu, CFA
	Fanuc	FANUF	6954 JP	Kenjin Hotta
	Fanuc	FANUY	FANUY US	Kenjin Hotta
	Kubota Corp	KUBTF	6326 JP	Kenjin Hotta
	Kubota Corp	KUBTY	KUBTY US	Kenjin Hotta
	Neway Valve	XNNVF	603699 CH	Summer Wang, CFA
	Zhuzhou CRRC Times Electric	ZHUZF	3898 HK	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	XWCTF	688187 CH	Yikai Liu, CFA
UNDERPERFORM				
	Alliance Global Group, Inc.	ALGGF	AGI PM	Russ Toribio
	CKD	CKDOF	6407 JP	Kenjin Hotta
	ESTUN Automation	XNJNF	002747 CH	Ming Hsun Lee, CFA
	ESTUN Automation	XZMTF	2715 HK	Ming Hsun Lee, CFA
	Goldwind	XJGWF	002202 CH	Gary Tsang
	Hitachi CM	HTCMF	6305 JP	Kenjin Hotta
	Hongfa Technology	XQXAF	600885 CH	Fiona Liang
	Komatsu	KMTUF	6301 JP	Kenjin Hotta
	Komatsu	KMTUY	KMTUY US	Kenjin Hotta
	L.K. Technology	XBQXF	558 HK	Joey Yang, CFA
	Leader Harmonious Drive Systems	XLHNF	688017 CH	Yikai Liu, CFA
	LT Group, Inc.	LTGIF	LTG PM	Philip Albert Felix
	OPT Machine Vision	XOTVF	688686 CH	Yikai Liu, CFA
	SCG Packaging PCL	XAFLF	SCGP TB	Komsun Suksumrun
	Shanghai Bochu Electronic	XWUTF	688188 CH	Fiona Liang
	Shenzhen SC New Energy	XENYF	300724 CH	Yikai Liu, CFA
	SK Bend	SUKWF	014620 KS	KJ Hwang



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
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iQmethodSM Measures Definitions**Business Performance**

Return On Capital Employed

Return On Equity
Operating Margin
Earnings Growth
Free Cash Flow

Quality of Earnings

Cash Realization Ratio
Asset Replacement Ratio
Tax Rate
Net Debt-To-Equity Ratio
Interest Cover

Valuation Toolkit

Price / Earnings Ratio
Price / Book Value
Dividend Yield
Free Cash Flow Yield
Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income
Operating Profit
Expected 5 Year CAGR From Latest Actual
Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations
Capex
Tax Charge
Net Debt = Total Debt – Cash & Equivalents
EBIT

Numerator

Current Share Price
Current Share Price
Annualised Declared Cash Dividend
Cash Flow From Operations – Total Capex
EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities
Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization
Shareholders' Equity
Sales
N/A
N/A

Denominator

Net Income
Depreciation
Pre-Tax Income
Total Equity
Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)
Shareholders' Equity / Current Basic Shares
Current Share Price
Market Cap = Current Share Price × Current Basic Shares
Sales

Basic EBIT + Depreciation + Amortization

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Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	39	59.09%	Buy	18	46.15%
Hold	12	18.18%	Hold	9	75.00%
Sell	15	22.73%	Sell	9	60.00%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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